

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

01. CORPORATE INFORMATION

1.1. Reporting Entity

Haycarb PLC is a Company incorporated and domiciled in Sri Lanka. The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka. The registered office of the Company is located at No. 400, Deans Road, Colombo 10.

All companies in the Group are limited liability companies and of the nineteen companies, six [vis., Haycarb PLC, Puritas (Pvt) Ltd., Recogen (Pvt) Ltd., Ultracarb (Pvt) Ltd. (amalgamated with Haycarb PLC with effect from 01st October 2025), Lakdiyatha (Pvt) Ltd., and Carbotels (Pvt) Ltd.] are incorporated and domiciled in Sri Lanka. The information on incorporation and principal activities of these companies are given on pages 470 to 473 of the Annual Report.

1.2. Consolidated Financial Statements

The Consolidated Financial Statements for the year ended 31st March 2026 comprise "the Company" referring to Haycarb PLC as the holding Company and the "Group" referring to companies that have been consolidated therein together with the group's interest in equity accounted investees.

1.3. Nature of Operations and Principal Activities of the Company and the Group

Descriptions of the nature of operations and principal activities of the Company, its subsidiaries and equity accounted investees are given on pages 470 to 473 to the Financial Statements. There were no significant changes in the nature of the principal activities of the Company and the Group during the financial year under review.

The parent undertaking and controlling party of the Company is Hayleys PLC.

1.4. Approval of Financial Statements

The Consolidated Financial Statements of Haycarb PLC and its subsidiaries (collectively, the Group) for the year ended 31st March 2026 were authorised for issue by the Directors on 21st May 2026.

1.5. Responsibility for Financial Statements

The responsibility of the Directors in relation to the Financial Statements is set out in the Statement of Directors' Responsibility Report in the Annual Report.

2. BASIS OF PREPARATION

2.1 Statement of Compliance.

The Consolidated Financial Statements have been prepared in accordance with the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), and with the requirements of the Companies Act No. 07 of 2007.

2.2 Basis of Measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except for:

- » Lands which are recognised as property plant and equipment which are measured at cost at the time of the acquisition and subsequently carried at fair value.
- » Financial instruments reflected as fair value through profit or loss which are measured at fair value.
- » Financial instruments designated as fair value through other comprehensive income (OCI) which are measured at fair value.
- » Employee benefit obligations which are determined based on actuarial valuations.

Where appropriate, the specific policies are explained in the succeeding notes.

No adjustments have been made for inflationary factors in the Consolidated Financial Statements.

2.3. Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees (Rs), which is also the Company's functional and presentation currency. Subsidiaries whose functional currencies are different as they operate in different economic environments are reflected in Note 43 to the Financial Statements.

2.4. Materiality and Aggregation

Each material class of similar items is presented separately in the Consolidated Financial Statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

2.5. Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the Financial Statements.

The presentation and classification of the Financial Statement of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.6. Rounding

All financial information presented in Sri Lankan Rupees has been rounded to the nearest thousand (Rs '000), except when otherwise indicated.

2.7. Offsetting

Assets and liabilities or income and expenses, are not offset unless required or permitted by Sri Lanka Accounting Standards.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1. Basis of Consolidation

The consolidated financial statements encompass the Company, its subsidiaries (together referred to as the "Group") and the Group's interest in equity accounted investees (Associates and Joint Ventures). Subsidiaries and equity-accounted investees are disclosed in Note 18 and 19 to the Financial Statements.

3.1.1. Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- » Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- » Exposure, or rights, to variable returns from its involvement with the investee
- » The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has the power over an investee, including:

- » The contractual arrangement(s) with the other vote holders of the investee.
- » Rights arising from other contractual arrangements
- » The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of Other Comprehensive Income are attributed to equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses, and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

3.1.2. Consolidation of Subsidiaries with Different Accounting Periods

The financial statements of all subsidiaries in the Group other than those mentioned in Note 44 to the financial statements are prepared for a common financial year, which ends on 31st March.

The subsidiaries with 31st December financial year ends prepare for consolidation purposes, additional financial information as of the same date as the financial statements of the parent.

The Financial Statements of the equity accounted investees are prepared for the same reporting period as the Group.

3.1.3. Equity-Accounted Investees (Investment in Associates)

An equity accounted investee is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The considerations made in determining significant influence or joint control is similar to those necessary to determine control over subsidiaries. The Group's investments in its associates are accounted for using the equity method.

Under the equity method, the investment in an associate is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately. Thus, reversals of impairments may effectively include reversal of goodwill impairments. Impairments and reversals are presented within 'Share of profit of an associate and a joint venture' in the statement of profit or loss

The Statement of Profit or Loss reflects the Group's share of the results of operations of the equity accounted investees. Any change in Other Comprehensive Income of those investees is presented as part of the Group's Other Comprehensive Income. In addition, when there has been a change recognised directly in the equity of the associate, the Group recognises its share of any changes, when applicable, in the Statement of Changes in Equity. Unrealised gain and loss resulting from transactions between the Group and the associates are eliminated to the extent of the interest in the associates.

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The aggregate of the Group's share of profit or loss of an associate is shown on the face of the Statement of Profit or Loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognises the loss as "Share of profit or loss of equity-accounted investees" in the Statement of Profit or Loss.

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognised in the Statement of Profit or Loss.

3.2. Business Combination and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition related costs are expensed as incurred and included in the administrative expenses.

The Group determines that it has acquired a business when the acquired set of activities and assets include an input and a substantive process that together significantly contribute to the ability to create outputs. The acquired process is considered substantive if it is critical to the ability to continue producing outputs, and the inputs acquired include an organised workforce with the necessary skills, knowledge, or experience to perform that process or it significantly contributes to the ability to continue producing outputs and is considered unique or scarce or cannot be replaced without significant cost, effort, or delay in the ability to continue producing outputs.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition

date. Contingent consideration classified as equity is not remeasured and its subsequent settlement is accounted for within equity. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of SLFRS 9 – "Financial Instruments", is measured at fair value with the changes in fair value recognised in the Statement of Other Comprehensive Income in accordance with SLFRS 9. Other contingent consideration that is not within the scope of SLFRS 9 is measured at fair value at each reporting date with changes in fair value recognised in the Statement of Profit or Loss.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests) and any previous interest held over the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in the Statement of Profit or Loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed of in this circumstance is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

3.3. Foreign Currency

3.3.1. Transactions and Balances

Transactions in foreign currencies are initially recorded by the Group's entities at their respective functional currency spot rates at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rate of exchange at the reporting date. Differences arising on settlement or translation of monetary items are recognised in the Statement of Profit or Loss. Tax charges and credit attributable to exchange differences on these monetary items are also recognised in Other Comprehensive Income.

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Non-monetary assets and liabilities which are measured in terms of historical cost in a foreign currency are translated using exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on the change in fair value of the item (i.e. translation differences on items of which fair value gain or loss is recognised in OCI or the Statement of Profit or Loss are also recognised in OCI or statement of profit or loss respectively).

In determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which the Group initially recognises the non-monetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, the Group determines the transaction date for each payment or receipt of advance consideration.

3.3.2. Foreign Operations

On consolidation, the assets and liabilities of foreign operations are translated into Sri Lanka Rupees at the rate of exchange prevailing at the reporting date and their Statements of Profit or Loss are translated at exchange rates prevailing at the dates of the transactions. The exchange differences arising on translation for consolidation are recognised in Other Comprehensive Income. On disposal of a foreign operation, the component of OCI relating to that particular foreign operation is reclassified to profit or loss.

Any goodwill arising on the acquisition of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.

3.3.3. Current versus Non-current Classification

The Group presents assets and liabilities in the Statement of Financial Position based on current/non-current classification. An asset is current when it is:

- » Expected to be realised or intended to sold or consumed in a normal operating cycle
- » Held primarily for the purpose of trading
- » Expected to be realised within twelve months after the reporting period, or
- » Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- » It is expected to be settled in a normal operating cycle
- » It is held primarily for the purpose of trading
- » It is due to be settled within twelve months after the reporting period, or
- » There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

3.4. Fair Value Measurement

The Group measures financial instruments such as investments which are designated as Fair Value Through Other Comprehensive Income, financial assets at fair value through profit or loss and derivatives; non-financial assets such as owner occupied lands, at fair value at each reporting date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- » In the principal market for the asset or liability, or
- » In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

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All assets and liabilities for which fair value is measured or disclosed in the Financial Statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Fair value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed are summarised in the following notes:

- » Disclosures for valuation methods, significant estimates and assumptions - Note 38
- » Quantitative disclosures of fair value measurement hierarchy - Note 38.
- » Property (land) under revaluation model - Note 38.
- » Financial instruments (including those carried at amortised cost) - Note 38.

3.5. Property, Plant and Equipment

The Group applies the requirements of LKAS 16 on "Property, Plant and Equipment" in accounting for its owned assets which are held for use in the provision of the services or for administration purpose and are expected to be used for more than one year.

3.5.1. Basis of Recognition

Property, plant and equipment is recognised if it is probable that future economic benefit associated with the assets will flow to the Group and cost of the asset can be reliably measured.

3.5.2. Basis of Measurement

Items of property, plant and equipment including construction in progress are measured at cost net of accumulated depreciation and accumulated impairment loss, if any, except for land which is measured at fair value.

3.5.3. Owned Assets

The cost of property, plant and equipment includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use, and includes the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets. Purchased software that is integral to the functionality of the related equipment is capitalised as a part of that equipment.

When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives.

Revaluation of land is done with sufficient frequency to ensure that the fair value of the land does not differ materially from its carrying amount, and is undertaken by professionally qualified valuers.

Any revaluation surplus is recorded in Other Comprehensive Income and credited to the asset revaluation reserve in equity. However, to the extent that it reverses a revaluation deficit of the same asset previously recognised in the Statement of Profit or Loss, the increase is recognised in the Statement of Profit or Loss. A revaluation deficit is recognised in Statement of Profit or Loss, except to the extent that it offsets an existing surplus on the same asset recognised in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

3.5.4. Subsequent Costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognised in accordance with the derecognition policy given below.

The costs of the repair and maintenance of property, plant and equipment are recognised in the Statement of Profit or Loss as incurred.

3.5.5. Derecognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal; or when no future economic benefits are expected from its use. Any gain and loss on derecognition are recognised (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) in the Statement of Profit or Loss. Gains are not classified as revenue.

3.5.6. Depreciation

Depreciation is recognised in the Statement of Profit or Loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment, in reflecting

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the expected pattern of consumption of the future economic benefits embodied in the asset.

The estimated useful lives for the current and comparative periods are as follows:

Description	Period
Buildings	20-50 years
Plant and machinery	10-40 years
Stores equipment	05-10 years
Motor vehicles	05 years
Furniture, fittings and office equipment	02-10 years
Data processing equipment	04 years
Laboratory equipment	05 years

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognised. The asset's residual values, useful lives are reviewed, and adjusted if appropriate, at each financial year end and adjusted prospectively, if appropriate.

3.6 Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

3.6.1 Group as a Lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

3.6.1.1 Right-of-use Assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e. the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

Description	Period
Land	02-25 years
Buildings	5-10 years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment as more fully described in Note 3.11– Impairment of Assets.

3.6.1.2 Lease Liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g. changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

The Group's lease liabilities are included in Note 28.3 to the Financial Statements.

3.6.1.3 Short-term Leases and Leases Low-Value Assets

The Group applies the short-term lease recognition exemption to its short-term leases of machinery and equipment and motor vehicle (i.e. those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognised as expense on a straight-line basis over the lease term.

3.6.2 Group as a Lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in revenue in the Statement of Profit or Loss

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due to its operating nature. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

3.7. Intangible Assets

3.7.1. Basis of Recognition.

An intangible asset is recognised if it is probable that future economic benefit associated with the asset will flow to the Group and cost of the asset can be reliably measured.

3.7.2. Basis of Measurement

Intangible assets acquired separately are measured on initial recognition at cost. The costs of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in Statement of Profit or Loss in the year in which the expenditure is incurred.

3.7.3. Useful Economic Lives and Amortisation

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful lives are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss in the expense category that is consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite useful life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.7.4. Derecognition of Intangible Assets

Intangible assets are de-recognised on disposal or when no future economic benefits are expected from its use. Gain or loss arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in Statement of Profit or Loss when the asset is derecognised.

3.7.5. Research and Development

Research costs are expensed as incurred. Development expenditures on an individual project are recognised as an intangible asset when the Group can demonstrate:

- » The technical feasibility of completing the intangible asset so that it will be available for use or sale
- » Its intention to complete and its ability and intention to use or sell the asset
- » How the asset will generate future economic benefits
- » The availability of resources to complete the asset
- » The ability to measure reliably the expenditure during development

Following initial recognition of the development expenditure as an asset, the asset is carried at cost less any accumulated amortisation and accumulated impairment loss. Amortisation of the asset begins when development is complete and the asset is available for use. It is amortised over the period of expected future benefit. Amortisation is recorded in cost of sales. During the period of development, the asset is tested for impairment annually.

3.7.6. Other Intangible Assets

Other intangible assets which are acquired by the Group, with finite useful lives, are measured on initial recognition at cost. Following initial recognition ERP systems are carried at cost less accumulated amortisation and accumulated impairment losses.

3.7.7. Subsequent Expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in the Statement of Profit or Loss as incurred.

3.7.8. Amortisation

Amortisation is recognised in the Statement of Profit or Loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, trademark and brand name, from the date on which they are available for use. The estimated useful lives are as follows:

Description	Period
Softwares	5-10 years
Product development	5 years

3.8. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

3.8.1. Financial Assets

3.8.1.1. Initial Recognition and Measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through

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other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price determined under SLFRS 15.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are "solely payments of principal and interest (SPPI)" on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognised on the trade date, i.e. the date that the Group commits to purchase or sell the asset.

3.8.1.2 Subsequent Measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- » Financial assets at amortised cost (debt instruments)
- » Financial assets designated at fair value through OCI with recycling of cumulative gain and loss upon derecognition (debt instruments)
- » Financial assets designated at fair value through OCI with no recycling of cumulative gain and loss upon derecognition (equity instruments)
- » Financial assets at fair value through profit or loss

Financial assets at amortised (Debt instruments)

Financial assets at amortised cost are subsequently measured using the Effective Interest Rate method (EIR) and are subject

to impairment. Gain and loss are recognised in the Statement of Profit or Loss when the asset is derecognised, modified, or impaired.

The Group's financial assets at amortised cost includes trade receivables, short term deposits and cash and cash equivalents.

Financial assets at fair value through OCI (Debt instruments)

For debt instruments at fair value through OCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognised in the Statement of Profit or Loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value change recognised in OCI is recycled to Profit or Loss.

Financial Assets Designated at Fair Value through OCI (Equity Instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under LKAS 32 on "Financial Instruments: Presentation" and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gain and loss on these financial assets are never recycled to the Statement of Profit or Loss. Dividends are recognised as other income in the Statement of Profit or Loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gain are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

This category includes listed and non listed equity instruments.

Financial assets at fair value through profit or loss

Financial assets at fair value through Profit or Loss are carried in the Statement of Financial Position at fair value with net changes in fair value recognised in the Statement of Profit or Loss.

This category includes derivative instruments and listed equity investments which the Group had not irrevocably elected to classify at fair value through OCI. Dividends on listed equity investments are recognised as other income in the Statement of Profit or Loss when the right of payment has been established.

A derivative embedded in a hybrid contract, with a financial liability or non-financial host, is separated from the host and accounted for as a separate derivative if: the economic characteristics and risks are not closely related to the host; a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative; and the hybrid contract is not measured at fair value through Profit or Loss. Embedded derivatives are measured at fair

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value with changes in fair value recognised in Profit or Loss. Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through Profit or Loss category.

3.8.1.3. Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e.: removed from the Group's consolidated financial position) when:

- » The rights to receive cash flows from the asset have expired, or
- » The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a "pass-through" arrangement; and either
 - (a). the Group has transferred substantially all the risks and rewards of the asset, or
 - (b). the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of its continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

3.8.1.4. Impairment of financial assets

Further disclosures relating to impairment of financial assets are also provided in the following notes:

- » Disclosures for significant assumptions Note 38
- » Debt instruments at fair value through OCI Note 38
- » Trade receivables, including contract assets Note 21 and 22

For trade receivables and contract assets, the Group applies a simplified approach in calculating Expected Credit Loss (ECLs). Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical

credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Group considers a financial asset in default when contractual payments are 180 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount based on historical experience of recoveries of similar assets. For corporate customers, the Company individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures to recovery of amounts due.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- » Financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- » Financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- » Undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- » Financial guarantee contracts: the expected payments to reimburse the holder less any amounts that the Group expects to recover.

3.8.2. Financial Liabilities

3.8.2.1 Initial Recognition and Measurement

Financial liabilities are classified, at initial recognition, loans and borrowings, payables or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognised initially at fair value and in the case of loans and borrowings and payables, net of directly attributable transaction costs.

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The Group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings, financial guarantee contracts and derivative financial instruments.

3.8.2.2. Subsequent Measurement

The measurement of financial liabilities depends on their classification as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Gains or losses on liabilities held for trading are recognised in the Statement of Profit or Loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss so designated at the initial date of recognition, and only if criteria of SLFRS 9 are satisfied. The Group has not designated any financial liability at fair value through profit or loss.

Financial liabilities at amortised cost

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in Statement of Profit or Loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance costs in the Statement of Profit or Loss.

Financial Guarantee Contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognised less cumulative amortisation.

3.8.2.3. Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled, or expires. When an existing financial liability is replaced by another from the

same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Profit or Loss.

3.8.3. Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if,

- » There is a currently enforceable legal right to offset the recognised amounts and
- » There is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously

3.8.4. Derivative Financial Instruments and Hedge Accounting

3.8.4.1. Initial Recognition and Subsequent Measurement

The Group uses derivative financial instruments, such as forward currency contracts, to hedge its foreign currency risks. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

For the purpose of hedge accounting, hedges are classified as Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognised firm commitment.

At the inception of a hedge relationship, the documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including the analysis of sources of hedge ineffectiveness and how the hedge ratio is determined).

A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- » There is 'an economic relationship' between the hedged item and the hedging instrument.
- » The effect of credit risk does not 'dominate the value changes' that result from that economic relationship.
- » The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Group actually hedges and the quantity of the hedging instrument that the Group actually uses to hedge that quantity of hedged item.

3.9. Fair Value of Financial Instruments

The fair value of financial instruments that are traded in active markets at each reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for

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long positions and ask price for short positions), without any deduction for transaction costs.

For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include:

- » Using recent arm's length market transactions
- » Reference to the current fair value of another instrument that is substantially the same
- » A discounted cash flow analysis or other valuation models.

An analysis of fair values of financial instruments and further details as to how they are measured are provided in Note 38 to the Financial Statements.

3.10. Inventories

Inventories are valued at the lower of cost and net realisable value.

Costs incurred in bringing each product to its present location and condition are accounted for as follows:

- » All inventory items, except manufactured inventories and work-in-progress are measured at weighted average directly attributable cost.
- » Manufactured inventories and work-in-progress are measured at weighted average factory cost which includes all direct expenditure and appropriate share of production overhead based on normal operating capacity but excluding borrowing costs.
- » Projects in progress consists of material, labour and other cost of personnel directly engaged in providing the service, including supervisory personnel and attributable overheads.

Net realisable value is the estimated selling price in the ordinary course of business less, the estimated cost of completion and the estimated costs necessary to make the sale.

3.11. Impairment of Non-Financial Assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

The Group bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Group's CGUs to which the individual assets are allocated. These budgets and forecast calculations generally cover a period of five years. A long-term growth rate is calculated and applied to project future cash flows after the tenth year.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss in expense categories consistent with the function of the impaired asset, except for properties previously revalued with the revaluation taken to Other Comprehensive Income. For such properties, the impairment is recognised in Other Comprehensive Income up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

Goodwill is tested for impairment annually as at 31st March and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Intangible assets with indefinite useful lives are tested for impairment annually as at 31 March at the CGU level, as appropriate, and when circumstances indicate that the carrying value may be impaired. Basis and assumptions for impairment test are given in Note 17.

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3.12. Cash and Cash Equivalents

Cash in hand and at bank and short-term deposits in the Statement of Financial Position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less, which are subject to an insignificant risk of changes in value.

For the purpose of the Consolidated Statement of Cash Flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts and short-term borrowings as they are considered an integral part of the Group's cash management.

3.13. Employee Benefits**3.13.1. Defined Contribution Plans**

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to Provident and Trust Funds covering all employees are recognised as an employee benefits expense in profit or loss in the periods during which services are rendered by employees.

The Group contributes 12% and 3% of gross emoluments to employees as Provident Fund and Trust Fund contributions respectively.

3.13.2. Defined Benefit Plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit is calculated by independent actuaries using Projected Unit Credit (PUC) method as recommended by LKAS 19 on "Employee Benefits". The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. The present value of the defined benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Key assumptions used in determining the defined retirement benefit obligations are given in Note 29. Any changes in these assumptions will impact the carrying amount of defined benefit obligations. Actuarial gains or losses are recognised in full in the Other Comprehensive Income.

Provision has been made for retirement gratuities from the beginning of service for all employees, in conformity with LKAS 19 on "Employee Benefit". However, for entities of the Group operating in Sri Lanka, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service.

The liability is not externally funded. This liability is computed based on legal liability method or the following basis by the respective entities.

Length of each service (Years)	Number of month's salary for completed year of service
Up to 20	½
20 up to 25	¾
25 up to 30	1
30 up to 35	1 ¼
Over 35	1 ½

3.13.3. Short-term Benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.14. Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the Statement of Profit or Loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3.15. Grants and Subsidies

Grants and subsidies are recognised where there is a reasonable assurance that the grant / subsidy will be received and all attaching conditions, if any, will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed.

3.16. Capital Commitments and Contingencies

Capital commitments and contingent liabilities of the Group are disclosed in the Note 15 and 37 to the Financial Statements.

3.17. Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

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3.18. Revenue from Contracts with Customers

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services.

The Group has several operating segments which are described in Note 36 to these Financial Statements. In all operating segments, the Group has generally concluded that it is the principal in its revenue arrangements, because it typically controls the goods or services before transferring them to the customer.

Sale of Goods

Revenue from sale of goods is recognised at the point in time when control of the asset is transferred to the customer, generally on delivery of the goods. The Group considers whether there are other promises in the contract that are separate performance obligations to which a portion of the transaction price needs to be allocated (e.g. warranties, customer loyalty points). In determining the transaction price for the sale of goods, the Group considers the effects of variable consideration, the existence of significant financing components, non-cash consideration, and consideration payable to the customer (if any).

(i) Variable Consideration

If the consideration in a contract includes a variable amount, the Group estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

(ii) Significant Financing Component

The Group receives short-term advances from its customers. Using the practical expedient in SLFRS 15, the Group does not adjust the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between the transfer of the promised good or service to the customer and when the customer pays for that good or service will be one year or less. Where long-term advances are received from customers, the transaction price for such contracts is discounted, using the rate that would be reflected in a separate financing transaction between the Group and its customers at contract inception, to take into consideration the significant financing component. There are no long term advances received from customers which need to be discounted.

Rendering of Services

Environmental Engineering Sector within the Group engage in the provision of services to its customers. The Group recognises revenue from services over time, using an output method to measure progress towards complete satisfaction

of the service, because the customer simultaneously receives and consumes the benefits provided by the Group.

Construction Contracts

In relation to contracts which involve the construction of assets on behalf of its customer, the Group assesses the nature of the respective contracts as to whether such is reflective of goods or services transferred at a point in time or satisfied over a period of time.

The Group determines that arrangements include transfers of a good or service over time when any of the following criteria are met:

- » The customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs.
- » The entity's performance creates or enhances an asset (e.g. work-in-progress) that the customer controls as the asset is created or enhanced
- » The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

When either of the above criteria is met, the Group recognises revenue on the respective contracts similar to the rendering of services. If an entity is unable to demonstrate that control transfers over time, the presumption is that control transfers at a point in time, and revenue is recognised similar to the sale of goods.

Contract Assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional.

Contract Liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made, or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the Group performs under the contract.

Interest

Interest income and expense are recognised in the Statement of Profit or Loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial assets or liability (or, where appropriate a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective

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interest rate, the Company estimates future cash flows considering all contractual terms of the financial instruments, but not future credit losses.

The calculation of effective interest rate includes all transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability. Interest income is presented in finance income in the Statement of Profit or Loss.

Fees and Commission

Fees and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate. Other fees and commission income are recognised as the related services are performed.

Rental Income

Rental income is recognised in the Statement of Profit or Loss as it accrues.

Dividend

Dividend income is recognised in profit or loss on the date the entity's right to receive payment is established which in the case of quoted securities is the ex-dividend date

Grants

Grants are recognised initially as deferred income when there is a reasonable assurance that they will be received and that the Group will comply with the conditions associated with the grant. Grants that compensate the Group for expenses incurred are recognised in profit or loss on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset are recognised in profit or loss on a systematic basis over the useful life of the asset.

Gain and Loss

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the net sales proceeds with the carrying amounts of property, plant and equipment and are recognised net within "other income" in profit or loss.

Other Income

Other income is recognised on an accrual basis.

3.19. Expenses

Expenses are recognised in the Statement of Profit or Loss on the basis of a direct association between the cost incurred and the earnings of specific items of income. All expenditure incurred in the running of the business has been charged to income in arriving at the profit for the year. For the purpose of presentation of the Statement of Profit or Loss, the function of expense method is adopted. Repairs and renewals are

charged to Statement of Profit or Loss in the year in which the expenditure is incurred.

3.19.1. Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

3.19.2. Finance Income and Finance Cost

Finance income comprises interest income on funds invested, dividend income, changes in the fair value of financial assets at fair value through profit or loss, and gains on hedging instruments that are recognised in the Statement of Profit or Loss. Interest income is recognised as it accrues in the Statement of Profit or Loss.

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions, changes in the fair value of financial assets at fair value through profit or loss, and losses on hedging instruments that are recognised in the Statement of Profit or Loss.

3.20. Tax Expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in the Statement of Profit or Loss except to the extent that it relates to a business combination, or items recognised directly in Equity or in Other Comprehensive Income.

3.20.1. Current Tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income.

Current tax relating to items recognised directly in Other Comprehensive Income is recognised in Other Comprehensive Income and not in the Statement of Profit or Loss. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

3.20.2. Deferred Tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

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Deferred tax liabilities are recognised for all taxable temporary differences, except:

- » When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- » In respect of taxable temporary differences associated with investments in subsidiaries, equity accounted investees and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.
- » Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:
- » When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- » In respect of deductible temporary differences associated with investments in subsidiaries, equity accounted investee and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised outside the Statement of Profit or Loss is recognised outside the Statement of Profit or Loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Tax benefits acquired as part of a business combination, but not satisfying the criteria for separate recognition at that date, would be recognised subsequently if new information about facts and circumstances changed. The adjustment would either be treated as a reduction to goodwill (as long

as it does not exceed goodwill) if it was incurred during the measurement period or in the Statement of Profit or Loss.

The Group offsets deferred tax assets and deferred tax liabilities if and only if it has a legally enforceable right to set off current tax assets and current tax liabilities and the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities which intend either to settle current tax liabilities and assets on a net basis, or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

Tax on dividend income from subsidiaries is recognised as an expense in the Consolidated Statement of Profit or Loss at the same time as the liability to pay the related dividend is recognised.

3.20.3. Sales Tax

Revenues, expenses and assets are recognised net of the amount of sales tax, except:

- » When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the sales tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable
- » Receivables and payables that are stated with the amount of sales tax.

The net amount of sales tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the Statement of Financial Position.

3.20.4. Social Security Contribution Levy (SSCL)

Social Security Contribution Levy (SSCL) shall be paid by any person carrying on the business of manufacturing, supply of services or whole/ retail sales, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No. 25 of 2022, at the rate of 2.5%, with effect from 1st October 2022 and subsequent amendments thereto.

4. GENERAL

4.1. Events Occurring after the Reporting Date

All material post reporting date events have been considered and where appropriate adjustments or disclosures have been made in the respective notes to the Financial Statements.

4.2. Earnings per Share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

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4.3. Statement of Cash Flows

The Statement of Cash Flows has been prepared using the "indirect method".

Interest paid is classified as a financing cash flow. Dividend and interest income are classified as cash flows from investing activities. Dividends paid are classified as financing cash flows.

4.4. Segment Reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Chairman and the Board to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Chairman include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Segment capital expenditure is the total cost incurred during the period to acquire property, plant and equipment, and intangible assets other than goodwill.

4.5. Changes in Accounting Policies and Disclosures

4.5.1 New Accounting Standards adopted in the Current Year

Early adoption of SLFRS 18 – Presentation and Disclosure in Financial Statements

The Group has early adopted SLFRS 18 – Presentation and Disclosure in Financial Statements, which replaces LKAS 1 Presentation of Financial Statements, for the financial year ended 31 March 2026. The mandatory effective date of SLFRS 18 is for annual reporting periods beginning on or after 1 January 2027; however, early adoption is permitted.

The Company has applied SLFRS 18 retrospectively, with comparative information for the year ended 31 March 2025.

The adoption of SLFRS 18 has resulted in:

- » Changes in the presentation and classification of certain income and expense items within the statement of profit or loss;
- » Enhanced disaggregation of material information in the notes to the financial statements.

The adoption of SLFRS 18 has not resulted in any changes to the recognition and measurement of the Company's assets, liabilities, income, or expenses, and consequently, there is no impact on total profit, equity, or cash flows.

The Company has updated its accounting policies and presentation formats to reflect the requirements of SLFRS 18.

4.5.1.1 Management-Defined Performance Measures

In accordance with the requirements of Sri Lanka Financial Reporting Standard SLFRS 18 Presentation and Disclosure in Financial Statements, the Group has assessed whether any management-defined performance measures (MPMs) have been used to communicate financial performance.

The Group confirms that it has not presented or disclosed any management-defined performance measures in the current reporting period. Accordingly, the disclosure requirements relating to management-defined performance measures under SLFRS 18 are not applicable to the financial statements of Haycarb PLC.

4.6. Standards Issued but not yet Effective

The new and amended standards and interpretations that are issued, but not yet effective, up to the date of issuance of the Group's financial statements are disclosed below. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

4.6.1. SLFRS 17 Insurance Contracts

SLFRS 17 Insurance Contracts is a comprehensive new accounting standard for insurance contracts, covering recognition, measurement, presentation, and disclosure. It replaces SLFRS 4 and applies to all types of insurance contracts, including life, non-life, direct insurance, reinsurance as well as certain guarantees and financial instruments with discretionary participation features:

The standard is built around the General Measurement Model, supported by two supplementary approaches:

- » Variable Fee Approach (VFA): for contracts with direct participation features
- » Premium Allocation Approach (PAA): a simplified model mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early adoption is allowed if the entity also applies SLFRS 9 Financial Instruments and SLFRS 15 Revenue from Contracts with Customers by the date SLFRS 17 is first applied.

SLFRS 17 does not have a material impact on the financial statements.

4.6.2. SLFRS 19 Subsidiaries without public accountability:

Disclosures SLFRS 19 introduces reduced disclosure requirements for subsidiaries that do not have public accountability but continue to apply the full SLFRS recognition and measurement principles.

The purpose of SLFRS 19 is to lessen the financial reporting burden on qualifying subsidiaries by simplifying disclosure requirements, while still ensuring that financial statements remain high-quality, consistent, and comparable for users.

SLFRS 19 applies to Specified Business Enterprises, as defined in the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995. Subsidiaries that fall within this category and do not have public accountability are eligible to apply SLFRS 19.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The Standard becomes effective for annual reporting periods beginning on or after 1 January 2027. Early application is permitted.

The entity is not eligible to apply for SLFRS 19.

4.6.3. Classification and Measurement of Financial Instruments - Amendments to SLFRS 9 and SLFRS 7

The amendments introduce enhancements to the classification, measurement, derecognition, and disclosure requirements for financial instruments. Their objective is to strengthen transparency, promote greater consistency in financial reporting, and respond to emerging market developments - particularly features such as sustainability linked terms and nature dependent electricity contracts.

These amendments are effective for annual reporting periods beginning on or after 1 January 2026. Early application is permitted.

The amendments are not expected to have a material impact on the financial statements

4.6.4. Annual improvements to Sri Lanka Accounting Standards

Narrow scope amendments as part of its periodic maintenance of Sri Lanka Accounting Standards will be adopted, if applicable, when they become effective.

5. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of Financial Statements in conformity with SLFRS/ LKAS's requires Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses.

Judgements and estimates are based on historical experience and other factors, including expectations that are believed to be reasonable under the circumstances. Hence actual experience and results may differ from these judgements and estimates

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised if the revision affects only that period and any future periods. Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes.

5.1. Significant Accounting Judgements

The following are the critical judgements, apart from those involving estimations, that have the most significant effect on the amounts recognised in the Financial Statements:

5.1.1. Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future.

The assessment includes the existing and anticipated effects from present macro-economic conditions, the circumstances of the external environment, or are inconsistent with historical trends. Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and the management do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on the going concern basis.

5.1.2. Recognition of Deferred Tax Assets

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits, together with future tax planning strategies.

The Group has Rs. 357 Mn (2025: Rs. 369 Mn) of tax losses carried forward. These losses relate to subsidiaries that have a history of losses and may not be used to offset taxable income elsewhere in the Group. The subsidiaries neither have any taxable temporary difference nor any tax planning opportunities available that could partly support the recognition of these losses as deferred tax assets.

On this basis, the Group has determined that it cannot recognise deferred tax assets on tax losses carried forward and described in Note 30.4 to the Financial Statements.

5.1.3. Consolidation of Entities in which the Group Holds 50% of the Voting Rights

The Group holds 50% of the issued share capital of Carbokarn Company Ltd., (CK) Thailand which in turn is the Parent Company of two fully-owned subsidiaries; CK Regen Systems Co. Ltd. and Shisuka Co. Ltd. The Group also holds 50% of the issued capital of Solar One Ceylon (Pvt) Ltd. Although the Group holds 50% of the issued capital of the mentioned entities they are considered as subsidiaries for financial reporting after due consideration of the agreements with partners and the current operating arrangement

5.1.4. Valuation of Inventories

The Group has applied judgement in the determination of impairment in relation to inventories that are slow moving or obsolete. The Group's impairment assessment in relation to such inventories take into account factors such as the ageing of items of inventories, dates for possible expiry and expectations in relation to how the inventories will be utilised or sold. Judgement has also been applied by Management in determining net realisable value of inventories (NRV). The estimates and judgements applied in the determination of NRV are influenced by expectations of sales relating to identified goods and historically realised sales prices.

At the physical verification, the weight of Charcoal and Activated Carbon stocks with different moisture level are recomputed based on the standard moisture levels and compared with the book balances recorded at the same standard rates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Standard moisture levels used

Country	Inventory Type	Percentage
Sri Lanka	Activated Carbon	6
	Charcoal	12
Thailand	Activated Carbon	6
	Charcoal	10
Indonesia	Activated Carbon	6
	Charcoal	20

5.2. Key Sources of Estimation Uncertainty

The following are key assumptions concerning the future and other major sources of estimation uncertainty that have a significant risk of resulting in material adjustments:

5.2.1. Measurement of the Employee Benefit Obligations

The present value of the employee benefit obligations is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases.

Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

The parameter most subject to change is the discount rate. In determining the appropriate discount rate, management considers the interest rates of government bonds, and extrapolated as needed along the yield curve to correspond with the expected term of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables. Those mortality tables tend to change only at intervals in response to demographic changes. Future salary increases are based on expected future inflation rates. Further details about employee benefit obligation are provided in Note 29 to the Financial Statements.

5.2.2. Revaluation of property, plant and equipment

The Group measures the freehold land (classified as property, plant and equipment) at revalued amounts, with changes in fair value being recognised in OCI. The freehold lands were valued by reference to transactions involving properties of a similar nature, location and condition.

The Group engaged a valuation specialist to assess fair values as at 31 March 2025 for the freehold lands. The key assumptions used to determine the fair value of the properties and sensitivity analyses are provided in Note 38 to the Financial Statements.

5.2.3. Impairment of Property, Plant and Equipment and Intangible Assets other than Goodwill

The impairment analysis is principally based upon discounted estimated cash flows from the use and eventual disposal of the assets. Factors like lower than anticipated sales and resulting decreases of net cash flows and changes in the discount rates could lead to impairment. Further details are disclosed in Notes 15 and 17 to the Financial Statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

6 REVENUE FROM CONTRACTS WITH CUSTOMERS

6.1 Disaggregation of Revenue

6.1.1 Timing of revenue recognition

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sale of goods and Services				
Goods transferred at a point in time	89,266,017	60,102,997	33,712,195	23,070,243
Services transferred over time	1,483,180	1,359,261	-	-
	90,749,197	61,462,258	33,712,195	23,070,243
Intra group revenue	(23,665,502)	(18,260,473)	-	-
Total revenue from contracts with customers	67,083,695	43,201,785	33,712,195	23,070,243

6.1.2 Geographical segment revenue by customer destination

For the year ended 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue outside Sri Lanka		65,540,886	41,937,922	33,663,909	22,884,499
Revenue in Sri Lanka		1,542,809	1,263,863	48,286	185,744
	6.1.1	67,083,695	43,201,785	33,712,195	23,070,243

6.1.3 Revenue by product category

For the year ended 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Activated Carbon		65,331,444	41,703,692	33,712,195	23,070,243
Environmental engineering solutions		1,752,251	1,498,093	-	-
	6.1.1	67,083,695	43,201,785	33,712,195	23,070,243

6.2 Contract Balances

Contract assets of the Group relating to projects in progress amount to Rs.658,746,000 /- (2025 – Rs. 293,223,000/-) and is reflected within Inventories in Note 21. Contract liabilities of the Group relate to payments received in advance as reflected in Note 32 and amounting to Rs. 489,238,000/- (2025 – Rs. 404,500,000/-)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

7 OTHER OPERATING INCOME

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Export incentive income	4,999	27,891	-	-
Gain on disposal of property, plant and equipment	73,001	1,990	72,500	-
Loss on disposal of property, plant and equipment	(12,833)	(18,989)	(12,833)	(12,318)
Fees for marketing services	-	-	161,789	96,209
Sundry income	242,165	310,531	104,184	86,476
Rental income	-	-	9,457	11,217
Income from technical consultations	-	-	45,956	52,391
	307,332	321,423	381,053	233,975

8 FOREIGN EXCHANGE DIFFERENCES

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Foreign exchange differences related to operating activities	597,476	(74,118)	484,623	(122,112)
Foreign exchange differences related to investing activities	(31,732)	(920)	(5,849)	1,218
Foreign exchange differences related to financing activities	(276,965)	16,244	(240,593)	22,956
	288,779	(58,794)	238,181	(97,938)

9 OTHER INDIVIDUALLY IMMATERIAL INCOME FROM INVESTMENTS

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Interest income	155,822	236,428	59,414	151,644
Dividend income from subsidiaries	-	-	914,124	507,106
Dividend income from equity instruments at fair value through OCI	75,923	77,306	75,923	77,306
Dividend income from equity accounted investees	-	-	8,083	-
Dividend income from unquoted equity investments	10	3,210	-	3,206
	231,755	316,944	1,057,544	739,262

10 INTEREST EXPENSES ON LOANS AND BORROWINGS

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Interest expense on short-term borrowings	864,182	402,919	399,631	150,742
Interest expense on long-term borrowings	88,236	61,010	78,317	36,869
Interest on lease liabilities	35,972	46,267	18,284	20,490
	988,390	510,196	496,232	208,101

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

11 PROFIT BEFORE TAX

For the year ended 31 March	Consolidated	
	2026	2025
	Rs. '000	Rs. '000
Parent	3,242,026	3,207,428
Subsidiaries	3,608,102	3,088,651
Equity accounted investees	17,946	15,415
	6,868,074	6,311,494
Unrealised profit on intra-group sales	(31,940)	(205,105)
Intra-group adjustments	(948,794)	(589,420)
	5,887,340	5,516,969

11.1 Specified expenses by nature in operating category:

For the year ended 31 March			Consolidated		Company	
			2026	2025	2026	2025
Nature of transaction	Operating category	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Depreciation on property, plant and equipment	Cost of sales	15.1/15.2	839,496	785,318	384,640	312,516
	Administrative expenses		217,485	220,519	71,157	66,901
Amortisation of Right-of-Use Assets	Administrative expenses	16.1	134,713	106,538	43,871	38,168
Amortisation of intangible asset	Administrative expenses	17	39,504	25,660	31,600	22,350
Directors' emoluments including Non-Executive Directors' consultation fees	Administrative expenses		392,531	387,830	392,531	321,273
Auditor's remuneration (fees and expenses)						
Ernst & Young	Administrative expenses		5,420	4,883	3,165	2,851
Others	Administrative expenses		43,021	38,293	-	-
Fees paid to Auditors for non-audit work						
Ernst & Young	Administrative expenses		6,519	6,090	2,284	3,404
Others	Administrative expenses		9,701	8,819	-	-
Donations	Administrative expenses		27,629	20,751	25,104	15,805
Provision/(reversal) for slow moving inventories	Administrative expenses	21.1	(3,187)	37,627	7,445	12,344
Impairment of trade receivable	Selling expenses	22.1	5,565	738	-	-
Staff training and development cost	Administrative expenses		8,773	9,559	7,612	6,947
Legal/litigation fees	Administrative expenses		15,927	7,967	3,389	3,209
Staff costs	Cost of sales	11.1.1	2,461,769	2,162,509	1,045,855	913,806
	Administrative expenses		3,065,302	2,806,890	1,237,586	1,175,065

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

11.1.1 Staff Costs

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined contribution plan cost	365,035	365,035	243,342	243,342
Defined benefit plan cost	295,076	278,798	236,740	235,766
Other staff cost	4,866,960	4,325,566	1,803,359	1,609,763
	5,527,071	4,969,399	2,283,441	2,088,871
Number of employees at year end	2,084	2,026	1,188	1,128

12 TAX EXPENSE

12.1 The Company has applied the tax rate introduced by the Inland Revenue (Amendment) Act No. 45 of 2022, certified on 19 December 2022, for both income tax and deferred taxation. Accordingly, a tax rate of 30% has been used for income tax and deferred tax across all segments in Sri Lanka for the current year and previous year. The resulting impact has been recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Corporate taxes of non-resident companies within the group have been computed based on their domestic tax status in their respective jurisdictions.

Tax rates of non resident Companies

Company	Income tax rate
Carbokarn Co.Ltd	20%
CK Regen Systems Co.Ltd	20%
Eurocarb Germany GmbH	30%
Eurocarb Products Ltd	19%
Haycarb Holdings Australia (Pty) Ltd	30%
Haycarb Holdings Bitung Ltd.	Tax Exempted
Haycarb Philippine Corporation Ltd.	Tax holiday
Haycarb Singapore Pte Ltd.	17%
Haycarb USA Inc.	21%
PT Haycarb Palu Mitra	22%
PT Mapalus Makawanua Charcoal Industry	22%
Puricarb Pte.Ltd	17%
Shisuka Co.Ltd	20%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

12 TAX EXPENSE CONTD.

12.2 Tax Expense

For the year ended 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka taxes					
Parent		534,352	371,792	534,352	371,792
Subsidiaries		12,225	87,313	-	-
		546,577	459,105	534,352	371,792
Overseas taxes					
Subsidiaries		823,935	621,570	-	-
		1,370,512	1,080,675	534,352	371,792
Under/(over) provision in respect of previous years					
Parent		(25,591)	209,934	(25,591)	209,934
Subsidiaries		-	(773)	-	-
	12.4	(25,591)	209,161	(25,591)	209,934
Deferred taxation					
Parent		134,601	(110,915)	134,601	(110,915)
Subsidiaries		32,121	15,651	-	-
	12.4	166,722	(95,264)	134,601	(110,915)
Tax on dividend income	12.4	35,071	51,555	-	-
Tax expense reported in the statement of profit or loss	12.4	1,546,714	1,246,127	643,362	470,811

12.3 Reconciliation of Tax effect on other comprehensive income

Deferred tax related to items charged or credited directly to other comprehensive income during the year.

For the year ended 31 March	2026			2025		
	Amounts before tax	Tax effect on OCI	Net of Tax	Amounts before tax	Tax effect on OCI	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Consolidated						
Items that will be reclassified subsequently to profit or loss:						
Net exchange differences on translation of foreign operations	957,682	-	957,682	19,991	-	19,991
Items that will not be reclassified to profit or loss:						
Actuarial (loss)/gain on defined benefit obligation	(49,485)	13,778	(35,707)	86,473	(27,021)	59,452
Revaluation of land	-	-	-	272,103	(92,285)	179,818
Net gain on equity investment designated at fair value through OCI	(227,849)	-	(227,849)	1,000,912	-	1,000,912
Other comprehensive income	680,348	13,778	694,126	1,379,479	(119,306)	1,260,173

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

For the year ended 31 March	2026			2025		
	Amounts before tax	Tax effect on OCI	Net of Tax	Amounts before tax	Tax effect on OCI	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Company						
Items that will not be reclassified to profit or loss:						
Actuarial (loss)/gain on defined benefit obligation	(39,905)	11,973	(27,932)	96,115	(28,834)	67,281
Revaluation of land	-	-	-	286,414	(85,924)	200,490
Net gain on equity investment designated at fair value through OCI	(227,849)	-	(227,849)	1,000,912	-	1,000,912
Other comprehensive income	(267,754)	11,973	(255,781)	1,383,441	(114,758)	1,268,683

12.4 Reconciliation of accounting profit to income tax expense

For the year ended 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit before tax		5,887,340	5,516,969	3,242,026	3,207,428
Share of profit of equity accounted investees	19.1	(17,946)	(15,415)	-	-
Consolidation adjustments		1,019,113	788,695	-	-
		6,888,507	6,290,249	3,242,026	3,207,428
Tax exempt income		(1,139,654)	(1,047,874)	(1,026,525)	(738,383)
Aggregated disallowable expenses		2,978,446	2,862,203	1,319,949	1,316,749
Aggregated allowable expenses		(2,025,435)	(3,379,851)	(1,984,309)	(2,693,235)
Tax losses brought forward		(369,272)	(103,531)	-	-
Other taxable income		184,482	167,183	177,357	146,748
Tax losses carried forward		356,561	369,272	-	-
Taxable income		6,873,635	5,157,651	1,728,497	1,239,307
Tax @ 20%		390,274	304,274	-	-
Tax @ 22%		134,769	160,127	-	-
Tax @ 30%		698,686	570,300	508,759	371,792
Tax at other rates		146,783	45,974	25,593	-
		1,370,512	1,080,675	534,352	371,792
Under/(over) provision in respect of previous years	10.2	(25,591)	209,161	(25,591)	209,934
Deferred tax charge/(reversal)	10.2	166,722	(95,264)	134,601	(110,915)
Tax on dividend income	10.2	35,071	51,555	-	-
Tax expense for the year		1,546,714	1,246,127	643,362	470,811
Effective tax rate		26%	23%	20%	15%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

13 EARNINGS / NET ASSETS PER SHARE

13.1 Earnings per Share

Basic Earnings per Share

The calculation of basic earnings per share is based on the net profit attributable to ordinary share holders of the parent divided by the weighted average number of ordinary shares outstanding during the year.

Diluted Earnings per Share

The calculation of diluted earnings per share is based on the profit attributable to ordinary share holders of the parent and the weighted average number of ordinary shares outstanding after adjustment for the effect of all dilutive potential ordinary shares.

There were no potentially dilutive ordinary shares outstanding at any time during the year/previous year.

Basic/diluted earning per share calculated as follows;

For the year ended 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit attributable to ordinary shareholders of the parent (Rs.'000)	3,618,876	3,596,517	2,598,664	2,736,617
Weighted average number of ordinary shares (No.)	297,123,750	297,123,750	297,123,750	297,123,750
Basic/diluted earnings per ordinary share (Rs.)	12.18	12.10	8.75	9.21

13.2 Net Assets per Share

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net assets attributable to equity holders (Rs.'000)	29,366,106	26,534,089	18,898,593	16,742,875
Number of ordinary shares (No.)	297,123,750	297,123,750	297,123,750	297,123,750
Net assets per share (Rs.)	98.83	89.30	63.61	56.35

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

14 DIVIDEND PER SHARE

For the year ended 31 March	Consolidated	
	2026	2025
	Rs. '000	Rs. '000
1st interim dividend 2025/26 - Rs. 0.50/- per share (1st interim dividend 2024/25 - Rs. 0.60/- per share)	148,562	178,274
2nd Interim dividend 2025/26 - Rs. 0.82/- per share (2nd Interim dividend 2024/25 - Rs. 1.10/- per share)	243,641	326,836
3rd Interim dividend 2025/26 - Rs. 1.05/- (3rd Interim dividend 2024/25 - Rs. 0.50/- per share)	311,981	148,562
4th Interim dividend 2025/26 -Rs. 1.70/- (4th Interim dividend 2024/25 -Rs. 1.60/- per share)	505,110	475,398
	1,209,294	1,129,070
Dividend per ordinary share-Rs.	4.07	3.80
Dividend payout ratio	33%	31%

14.1 Compliance with Section 56 and 57 of Companies Act No. 07 of 2007

Compliance with Section 56 and 57 of Companies Act No. 07 of 2007	Dividend	Approval of solvency certificate
As required by Section 56 of the Companies Act No. 07 of 2007, the Board of Directors of the Company satisfied the solvency test in accordance with Section 57, prior to recommending the dividends.	1st interim dividend 2nd interim dividend 3rd interim dividend 4th interim dividend	A statement of solvency completed and duly signed by the Board of Directors and the certificate of solvency audited by Messrs Ernst & Young, Chartered Accountants obtained prior to payment of the dividends.

14.2 Dividends proposed after the reporting date

No dividends have been proposed or declared by the Board of Directors after the reporting date and up to the date of authorisation of these financial statements.

Accordingly, no amounts have been recognised or disclosed in respect of dividends subsequent to the reporting date.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

15 PROPERTY, PLANT AND EQUIPMENT

15.1 Consolidated

	Freehold land	Buildings	Machinery and equipment	Vehicles	Furniture fittings and office equipment	Data processing equipment	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost or valuation							
As at 31 March 2024	2,196,619	3,288,706	11,254,779	412,457	360,435	130,575	17,643,571
Revaluation of land	272,103	-	-	-	-	-	272,103
Additions during the year	237,753	277,332	1,973,543	25,384	74,487	14,574	2,603,073
Disposals during the year	-	(6,318)	(71,154)	(11,647)	(1,474)	-	(90,593)
Reclassification	(179,791)	179,791	-	-	-	-	-
Effect of movement in exchange rates	(1,971)	62,215	139,932	5,109	5,279	-	210,564
As at 31 March 2025	2,524,713	3,801,726	13,297,100	431,303	438,727	145,149	20,638,718
Additions during the year	70,796	751,228	1,832,104	240,310	50,044	51,812	2,996,294
Disposals during the year	-	(6,449)	(80,866)	(58,227)	(18,038)	(53,923)	(217,503)
Effect of movement in exchange rates	28,544	192,659	533,970	23,819	24,739	(8)	803,723
As at 31 March 2026	2,624,053	4,739,164	15,582,308	637,205	495,472	143,030	24,221,232
Accumulated Depreciation							
As at 31 March 2024	-	1,080,103	6,877,101	270,332	282,125	99,890	8,609,551
Depreciation charge for the year	-	148,013	774,521	42,910	24,475	15,918	1,005,837
Disposals during the year	-	(1,093)	(31,230)	(11,647)	(1,380)	-	(45,350)
Effect of movement in exchange rates	-	22,697	102,269	3,766	3,793	-	132,525
As at 31 March 2025	-	1,249,720	7,722,661	305,361	309,013	115,808	9,702,563
Depreciation charge for the year	-	164,196	802,088	45,193	28,060	17,444	1,056,981
Disposals during the year	-	(1,985)	(74,196)	(58,227)	(17,299)	(51,826)	(203,533)
Effect of movement in exchange rates	-	84,914	394,261	16,072	20,187	-	515,434
As at 31 March 2026	-	1,496,845	8,844,814	308,399	339,961	81,426	11,071,445
Provision for impairment							
As at 31 March 2026	-	-	-	-	-	-	-
As at 31 March 2025	-	-	(25,543)	-	-	-	(25,543)
Net book value							
As at 31 March 2026	2,624,053	3,242,319	6,737,494	328,806	155,511	61,604	13,149,787
As at 31 March 2025	2,524,713	2,552,006	5,548,896	125,942	129,714	29,341	10,910,612
Capital work-in-progress							
As at 31 March 2026							3,016,851
As at 31 March 2025							1,813,751
Carrying value							
As at 31 March 2026	2,624,053	3,242,319	6,737,494	328,806	155,511	61,604	16,166,638
As at 31 March 2025	2,524,713	2,552,006	5,548,896	125,942	129,714	29,341	12,724,363

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

- (a) Capital work-in-progress represents the amount of expenditure recognised under property, plant and equipment during the period of the construction of a capital asset. Movement of capital work-in-progress is given below.

Movement of capital work-in-progress	Consolidated		Company	
	2025/26	2024/25	2025/26	2024/25
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance at the beginning of the year	1,813,751	1,829,785	868,070	1,151,752
Additions during the year	2,853,198	2,507,997	1,420,106	1,439,976
Capitalised during the year	(1,650,098)	(2,524,031)	(1,074,133)	(1,723,658)
Transfer on amalgamation	-	-	547,343	-
Balance at the end of the year	3,016,851	1,813,751	1,761,386	868,070

- (b) Freehold Land carried at re-valued amount:

Company	Location	Last revaluation date	Land extent	Number of buildings	Unobservable input per perch Avg.	Carrying value as at 31st March 2026	Cost as at 31st March 2026
					Rs.'000	Rs.'000	Rs.'000
Haycarb PLC	Madampe Factory - Madampe	31.03.2025	30A-0R-37.2P	18	63	305,232	124,587
	Badalgama Factory Badalgama	31.03.2025	28A-0R-12.8P	27	73	328,785	154,561
	Heenagara Estate Kuliyaipitiya	31.03.2025	10 A	2	34	55,000	56,809
	Wewalduwa Stores - Wewalduwa	31.03.2025	2A-1R-36.04 P	6	1,387	549,160	4,309
	Badalgama, Makandura Badalgama	31.03.2025	19A-1R-11.3P	-	94	290,960	289,801
Company total						1,529,137	630,067
Recogen (Pvt) Ltd	Badalgama Factory - Badalgama	31.03.2025	10A-3R-15 P	6	78	135,547	38,093
Carbokarn Co. Ltd	Chonburi Province - Thailand	31.03.2025	15A-2R-22P	23	108	270,163	225,363
Shisuka Co. Ltd.	Ratchburi Province - Thailand	31.03.2025	24A-2R-19P	13	36	140,249	102,041
PT Mapalus Makawanua Charcoal Industry	Bitung City - Indonesia	31.03.2025	11A -3R-16P	8	207	392,805	160,011
PT Haycarb Palu Mitra	Palu City - Indonesia	31.03.2025	6A-3R-37.5P	18	140	156,152	182,492
Consolidated total						2,624,053	1,338,067

Significant increase / (decrease) in estimated price per perch in isolation would result in a significantly higher / (lower) fair value on linear basis.

- (c) Movement of revaluation surplus is as follows.

Movement of revaluation surplus	Consolidated		Company	
	2025/26	2024/25	2025/26	2024/25
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance at the beginning of the period	1,038,559	858,864	628,539	428,049
Revaluation gain recognised during period	-	272,103	-	286,414
Deferred tax on revaluation surplus	-	(92,285)	-	(85,924)
Balance at the end of the year	1,038,559	1,038,559	628,539	628,539

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.1 Consolidated Contd.

d) The cost of fully depreciated property, plant and equipment which are still in use at the reporting date is as follows.

As at 31 March	2026	2025
	Rs. '000	Rs. '000
Buildings	411,901	369,768
Machinery and equipment	4,502,807	4,005,925
Motor vehicles	185,043	160,549
Furniture fittings and office equipment	408,056	457,833
	5,507,807	4,994,075

(e) On reassessment of fair value of the Group's assets, it has been identified that there is no impairment of property, plant and equipment other than disclosed above which requires provision in the Financial Statements.

(f) There were no assets pledged by the Group as securities for facilities obtained from the Banks other than those disclosed below,

Company Name	Banks mortgaged to	Type of the facility	Facility value	Details of assets	Cost	Carrying Value
			Rs. '000		Rs. '000	Rs. '000
PT Mapalus Makawanua Charcoal Industry	PT Bank Negara Indonesia	Short term loan facility	909,897	Land	160,009	392,805
				Building	316,705	160,905
PT Haycarb Palu Mitra	PT Bank HSBC Indonesia	Short term loan facility	749,075	Land	96,588	156,152
				Building	338,004	174,857
				Machinery and equipment	784,696	301,245

(g) A borrowing cost of Rs. 68,670,000/- has been capitalised under property, plant and equipment during the year ended 31st March 2026.(2024/25 – Rs. 12,675,000).

(h) Land owned by the Group was revalued as at 31st March 2025 by independent Chartered Valuation Surveyors. The fair value of the land was determined based on transaction observed in the market, appropriately adjusted for differences in the nature, location or condition of the specific property.

(i) There were no restrictions that existed on the title to the property, plant and equipment of the Group as at the reporting date.

(j) During the Financial Year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs. 4,151 million (2024/25 - Rs. 2,557 million) on cash basis.

15.1.1 Capital Expenditure Commitments

The approximate amounts of capital expenditure approved by the Directors

	Consolidated	
As at 31 March	2026	2025
	Rs. '000	Rs. '000
Capital expenditure contracted for which no provision is made in the Financial Statements	1,556,799	219,066
Capital expenditure approved by the Directors but not contracted	1,653,613	383,977

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

15.2 Company

	Freehold land	Buildings	Machinery and equipment	Vehicles	Furniture fittings and office equipment	Data processing equipment	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost or valuation							
At 31 March 2024	951,429	1,188,690	3,951,643	150,127	91,134	117,890	6,450,913
Additions during the year	333	125,523	1,126,492	-	45,473	12,751	1,310,572
Revaluation of land	286,414	-	-	-	-	-	286,414
Disposals during the year	-	(15,243)	(108,282)	(1,695)	(4,298)	(559)	(130,077)
At 31 March 2025	1,238,176	1,298,970	4,969,853	148,432	132,309	130,082	7,917,822
Additions during the year	68,774	240,745	972,485	195,450	3,225	47,842	1,528,521
Transfer from amalgamation	222,187	588,843	1,638,546	-	14,623	1,946	2,466,145
Disposals during the year	-	(6,449)	(77,101)	(58,227)	(18,038)	(53,923)	(213,738)
At 31 March 2026	1,529,137	2,122,109	7,503,783	285,655	132,119	125,947	11,698,750
Accumulated Depreciation							
At 31 March 2024	-	192,608	1,860,875	112,947	59,573	89,537	2,315,540
Depreciation charge for the year	-	28,116	314,236	15,545	7,422	14,098	379,417
Disposals during the year	-	(1,093)	(5,194)	(1,560)	-	-	(7,847)
At 31 March 2025	-	219,631	2,169,917	126,932	66,995	103,635	2,687,110
Depreciation charge for the year	-	34,855	385,874	9,900	9,479	15,689	455,797
Disposals during the year	-	(1,985)	(71,568)	(58,227)	(17,299)	(51,826)	(200,905)
Transfer from amalgamation	-	19,171	571,308	-	3,529	1,473	595,481
31 March 2026	-	271,672	3,055,531	78,605	62,704	68,971	3,537,483
Impairment Provision							
At 31 March 2026	-	-	-	-	-	-	-
At 31 March 2025	-	-	(25,543)	-	-	-	(25,543)
Net book value							
At 31 March 2026	1,529,137	1,850,437	4,448,252	207,050	69,415	56,976	8,161,267
At 31 March 2025	1,238,176	1,079,339	2,774,393	21,500	65,314	26,447	5,205,169
Capital work-in-progress							
At 31 March 2026							1,761,386
At 31 March 2025							868,070
Carrying amount							
At 31 March 2026	1,529,137	1,850,437	4,448,252	207,050	69,415	56,976	9,922,653
At 31 March 2025	1,238,176	1,079,339	2,774,393	21,500	65,314	26,447	6,073,239

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

15 PROPERTY, PLANT AND EQUIPMENT CONTD.

15.2 Company Contd.

(a) The cost of fully depreciated property plant and equipment which are still in use at the reporting date is as follows.

As at 31 March	2026	2025
	Rs. '000	Rs. '000
Buildings	3,086	1,574
Machinery and equipment	1,225,670	1,079,135
Motor Vehicles	60,761	70,513
Furniture Fittings & Office Equipment	58,161	114,237
	1,347,678	1,265,459

(b) There were no assets pledged by the Company as securities for facilities obtained from the Banks.

(c) There were no restrictions that existed on the title to the property, plant and equipment of the Company as at the reporting date.

(d) During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 1,874,494,000/- (2024/25 - Rs.1,026,890,000/-) on cash basis.

(e) A borrowing cost of Rs. 21,874,000/- have been capitalised under property, plant and equipment during the year ended 31st March 2026.(2024/25 – Rs. Nil).

15.3 Valuation method of free hold lands

Valuation Technique	Significant Unobservable Inputs	Sensitivity of Fair Value Measurement to Inputs
Market Comparable Method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for any differences in the nature, size, location or condition of the specific property.	Market value of land (Price per perch) Valuer has used range of prices for respective lands based on their recently transacted cost.	Estimated fair value would increase/ (decrease) if the price per perch would increase/ (decrease).

15.4 Capital Expenditure Commitments

The approximate amounts of capital expenditure approved by the Directors as at 31 March

As at 31 March	Consolidated	
	2026	2025
	Rs. '000	Rs. '000
Capital expenditure contracted for which no provision is made in the financial statements	732,778	165,546
Capital expenditure approved by the Directors but not contracted	192,875	265,086

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16 RIGHT OF USE ASSETS

16.1 Right of Use Assets

As at 31 March	Consolidated				Company	
	Land	Buildings	Total	Total	Buildings	
	2026	2026	2026	2025	2026	2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Cost						
At the beginning of the year	1,081,888	524,941	1,606,829	540,997	190,850	261,282
Additions during the year	-	-	-	1,137,392	-	-
Amalgamation of subsidiary	-	-	-	-	57,004	-
Increases to recognised assets	16,695	-	16,695	-	-	-
Derecognition during the year	-	-	-	(70,432)	-	(70,432)
Effects of movements in exchange rates	6,239	13,886	20,125	(1,128)	-	-
At the end of the year	1,104,822	538,827	1,643,649	1,606,829	247,854	190,850
Accumulated amortisation						
At the beginning of the year	21,638	132,897	154,535	50,057	38,170	1,377
Charge for the year	33,895	100,818	134,713	106,538	43,871	38,168
Increases to recognised assets	(22,263)	-	(22,263)	-	-	-
Amalgamation of subsidiary	-	-	-	-	12,351	-
Derecognition during the year	-	-	-	(1,375)	-	(1,375)
Effects of movements in exchange rates	(125)	6,187	6,062	(685)	-	-
At the end of the year	33,145	239,902	273,047	154,535	94,392	38,170
At the end of the year	1,071,677	298,925	1,370,602	1,452,294	153,462	152,680

16.2 Practical expedients applied

The Group has elected not to recognise right-of-use assets and lease liabilities for:

- » Short-term leases with a lease term of 12 months or less
- » Leases of low-value assets
- » Payments associated with these leases are recognised as an expense in profit or loss on a straight-line basis over the lease term.
- » The Group has also excluded variable lease payments that depend on usage or performance from the measurement of lease liabilities. Such payments are recognised as an expense as incurred.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17 INTANGIBLE ASSETS

As at 31 March	Consolidated				Company		
	Software	Goodwill	Product development	Total	Software	Product development	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost							
As at 31 March 2024	183,787	257,206	288,497	729,490	117,229	171,739	288,968
Additions during the year	-	-	99,691	99,691	-	44,598	44,598
Effect of movement in exchange rates	(561)	-	6,387	5,826	-	-	-
As at 31 March 2025	183,226	257,206	394,575	835,007	117,229	216,337	333,566
Additions during the year	10,751	-	114,883	125,634	10,751	114,883	125,634
Transfer from amalgamation	-	-	-	-	-	67,629	67,629
Effect of movement in exchange rates	2,654	-	11,430	14,084	-	-	-
As at 31 March 2026	196,631	257,206	520,888	974,725	127,980	398,849	526,829
Accumulated amortisation							
As at 31 March 2024	140,200	55,164	186,746	382,110	97,186	69,986	167,172
Amortisation for the year	8,468	-	17,192	25,660	6,074	16,276	22,350
Effect of movement in exchange rates	(561)	-	6,387	5,826	-	-	-
As at 31 March 2025	148,107	55,164	210,325	413,596	103,260	86,262	189,522
Amortisation for the year	9,083	-	30,421	39,504	6,689	24,911	31,600
Transfer from amalgamation	-	-	-	-	-	18,964	18,964
Effect of movement in exchange rates	2,654	-	11,430	14,084	-	-	-
As at 31 March 2026	159,844	55,164	252,176	467,184	109,949	130,137	240,086
Net book value							
At 31 March 2026	36,787	202,042	268,712	507,541	18,031	268,712	286,743
At 31 March 2025	35,119	202,042	184,250	421,411	13,969	130,075	144,044

17.1 The cost of fully depreciated intangible assets which are still in use at the reporting date is as follows.

As at 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fully depreciated intangible assets	89,871	79,311	47,817	37,257

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17.2 Allocation of Goodwill to Cash-Generating Units

Goodwill arising from business combinations has been allocated to the following cash-generating units (CGUs), which represent the lowest level within the Group at which goodwill is monitored for internal management purposes:

As at 31 March	Consolidated	
	2026	2025
	Rs. '000	Rs. '000
Haycarb USA Inc	13,791	13,791
PT Mapalus Makawanua Charcoal Industry	49,656	49,656
Shisuka Co. Ltd.	138,595	138,595
	202,042	202,042

There have been no permanent impairment of intangible assets that require a provision during the year. The method used in estimating the recoverable amount of intangible assets of and were based on the value in use, which was determined by discounting the future cash flows generated for the continuing use of the unit.

The key assumptions used are given below:

Business growth

For the purposes of the Group's value in use calculations, a long-term growth rate into perpetuity is applied immediately at the end of the five year forecast period and is based on the lower of

- » the nominal GDP growth rate forecasts for the country of operations (Indonesia - 5%, Thailand -3% USA - 3%); and
- » the long-term compound annual growth rate in adjusted EBITDA as estimated by management

Long-term compound annual growth rates determined by management may be lower than forecast nominal GDP growth rates due to the following market-specific factors: competitive intensity levels, maturity of business, regulatory environment or company-specific inflation expectations.

Inflation

Inflation is based on the current inflation rate and the percentage of the total cost subjected to the inflation in respective countries.

Discount rate

Discount rates represent the current market assessment of the risks specific to each CGU, taking into consideration the time value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Group and its operating segments and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity. The cost of equity is derived from the expected return on investment by the Group's investors. The cost of debt is based on the interest-bearing borrowings the Group is obliged to service. Segment-specific risk is incorporated by applying individual beta factors. The beta factors are evaluated annually based on publicly available market data. Adjustments to the discount rate are made to factor in the specific amount and timing of the future tax flows in order to reflect a pre-tax discount rate.

As at 31 March	2026	2025
PT Mapalus Makawanua Charcoal Industry	11.00%	10.00%
Haycarb USA Inc	9.50%	9.00%
Shisuka Co. Ltd.	8.50%	8.50%

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

17 INTANGIBLE ASSETS CONTD.

Margin

Projected adjusted EBITDA has been based on past experience adjusted for the following

- » Revenue is expected to continue to grow as increase in market share along with higher margins, and new products and services are introduced.
- » Margins are expected to be impacted by negative factors such as the cost of acquiring and retaining customers in increasingly competitive markets and by positive factors such as the efficiencies expected from the implementation of Group initiatives.

Software

Software includes purchased software and licenses and is amortised over the period of the expected economic benefit.

Product Development

The Group has recognised an intangible asset in respect of new product developments. The Management is in the opinion that the Group is capable of generating future economic benefits through these products. This is being equally amortised over a period of 3 to 5 years.

Research expenses on product development have been charged to the Statement of Profit or Loss

18 INVESTMENTS IN SUBSIDIARIES

18.1 Company Investments in Subsidiaries

As at 31st March	Company Holding		No.of Shares		Company	
	2026	2025	2026	2025	2026	2025
	%	%	No.	No.	Rs.'000	Rs.'000
Unquoted investments						
Eurocarb Products Ltd.	100	100	100,000	100,000	4,064	4,064
Haycarb Holdings Australia (Pty) Ltd.	100	100	150,000	150,000	951	951
Puritas (Pvt) Ltd.	100	100	700,000	700,000	18,000	18,000
Haycarb USA Inc.	100	100	1,285,000	1,285,000	168,080	168,080
PT Mapalus Makawanua Charcoal Industry *	2	2	707	707	1,025	1,025
Carbokarn Co. Ltd.	50	50	250,000	250,000	64,771	64,771
Recogen (Pvt) Ltd.	100	100	37,000,000	37,000,000	370,000	370,000
Haycarb Holdings Bitung Ltd.	100	100	1,400,000	1,400,000	141,736	141,736
Ultracarb (Pvt) Ltd.	-	100	-	25,000,000	-	250,000
PT.Haycarb Palu Mitra	60	60	1,290,000	1,290,000	168,268	168,268
Haycarb Activated Carbon (Pvt) Ltd.	100	100	336,797	336,797	7,874	7,874
Haycarb Singapore Pte Ltd.	100	100	10,000	10,000	3,023	3,023
Company investment in subsidiaries (at cost)					947,792	1,197,792
Provision for fall in value of investment in Recogen (Pvt) Ltd.					(100,000)	(100,000)
Company investment in subsidiaries					847,792	1,097,792

* The remaining 98% of PT Mapalus Makawanua Charcoal Industry is held by Haycarb Holding Bitung Ltd. which is a fully owned subsidiary of Haycarb PLC.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

18.2 Indirect investments in subsidiaries

As at 31st March		Effective Holding		No. of Shares		Value	
		2026	2025	2026	2025	2026	2025
Investor	Investee	%	%	No.	No.	Rs.'000	Rs.'000
Unquoted investments							
Haycarb Holding Bitung Ltd.	PT Mapalus Makawanua Charcoal Industry	98	98	36,395	36,395	362,574	362,574
Carbokarn Co.Ltd	CK Regen Co.Ltd.	50	50	75,000	75,000	17,050	17,050
Carbokarn Co.Ltd	Shisuka Co. Ltd.	50	50	137,500	137,500	57,264	57,264
Puritas (Pvt) Ltd	Puricarb Pte Ltd.	100	100	50,000	50,000	6,638	6,638
Puricarb Pte Ltd	Haycarb Philippine Corporation	100	100	300,000	300,000	16,998	16,998
Haycarb Singapore Pte Ltd	Eurocarb Germany GmbH	100	100	25,000	25,000	7,858	7,858

The countries of incorporation and the principal activities of the above companies are given on pages 470 to 473.

18.3 Amalgamation of a subsidiary

Ultracarb (Pvt) Limited, a fully owned subsidiary of Haycarb PLC was amalgamated with Haycarb PLC with effect from 1st of October 2025, in terms of the provisions of the Companies act, No. 07 of 2007. The amalgamation represents a common control transaction and has therefore been accounted for using the pooling of interest method in accordance with the Group's accounting policy and prevailing SLFRS guidance for business combinations under common control.

Separate financial statements were prepared for Ultracarb (Pvt) Ltd for the period 01st April 2025 to 30th September 2025. The assets, liabilities and equity of Ultracarb (Pvt) Ltd as at the date of amalgamation, together with the results for the period up to that date, were transferred to and recognised by the Haycarb PLC.

Comparative figures have not been restated. In line with the Group's accounting policy for the common control transactions, the amalgamation has been accounted for from the effective date. As a result, comparisons between periods may not be directly comparable

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

18 INVESTMENTS IN SUBSIDIARIES CONTD,

18.3 Amalgamation of a subsidiary contd.

The carrying amounts of the identifiable assets and liabilities of the acquiree as at 1 October,2025. which is the merger date is as follows;

As at 01 October 2025	Rs. '000
Assets	
Property, plant and equipment	2,418,008
Right-of-Use Assets	44,653
Intangible assets	48,666
Inventories	518,840
Amounts receivable from related parties	110,217
Trade and other receivables and prepayments	433,717
Cash and cash equivalent	4,711
	3,578,812
Liabilities	
Interest bearing borrowings - long term	655,911
Deferred tax liabilities	101,950
Lease obligation	46,986
Income tax payable	1,060
Trade and other payables	263,981
	1,069,888
Carrying amount of identifiable net assets amalgamated	2,508,924
Results of the acquisitions of above entity are as follows;	
Investment in stated capital	250,000
Investment in working capital by Haycarb PLC	1,236,795
	1,486,795
Gain on amalgamation transferred to amalgamation reserve	1,022,129

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Since this business combination is within entities under the common control of the parent Haycarb PLC, no goodwill is recognised upon the merger, the gain of Rs. 1,022,129,000/- was recognised in equity of the Company.

The amalgamation reserve represents the excess of the carrying value of the net identifiable assets of the amalgamated subsidiary over the cost of the investment held by the Company. Inter-company balances have been eliminated on amalgamation.

Impact of the Amalgamation on the current period

The impact of the inclusion of Ultracarb (Pvt) Ltd on the Statement of Profit or Loss and Statement of Financial Position of the Company as at 31st March 2026 is summarised below:

Financial Impact	Rs. '000
Revenue contribution (October to March 2026)	2,349,800
Profit after tax (October to March 2026)	346,501
Assets recognised on amalgamation (As at 01st October 2025)	3,614,702
Liabilities recognised on amalgamation (As at 01st October 2025)	2,342,573
Net assets transferred on amalgamation (As at 01st October 2025)	1,272,129

19 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

As at 31 March	Note	Holding		No of shares		Consolidated		Company	
		2026	2025	2026	2025	2026	2025	2026	2025
		%	%	No.	No.	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Carbotels (Pvt) Ltd.	19.1	25.2	25.2	9,290,311	9,290,311	594,618	597,734	92,903	92,903
Lakdiyatha (Pvt) Ltd.	19.1	49.0	49.0	2,450,000	2,450,000	14,587	1,608	-	-
						609,205	599,342	92,903	92,903

The countries of incorporation and the principal activities of the above companies are given on pages 470 to 473.

19.1 Movement in equity accounted investees

As at 31st March	Lakdiyatha (Pvt) Ltd		Carbotels (Pvt) Ltd		Consolidated	
	2026	2025	2026	2025	2026	2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
At the beginning of the year	1,608	1,100	597,734	582,827	599,342	583,927
Share of profit of equity accounted investees (Note 19.2)	12,979	508	4,967	14,907	17,946	15,415
Dividends		-	(8,083)		(8,083)	-
At the end of the year	14,587	1,608	594,618	597,734	609,205	599,342

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

19 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

19.2 Summarised Financials of Equity Accounted Investees

As at 31st March	Lakdiyatha (Pvt) Ltd		Carbotels (Pvt) Ltd		Consolidated	
	2026	2025	2026	2025	2026	2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Statement of financial position						
Non current assets	113,199	127,746	2,168,813	2,188,854	2,282,012	2,316,600
Current assets	21,230	30,324	213,775	210,752	235,005	241,076
Total assets	134,429	158,070	2,382,588	2,399,606	2,517,017	2,557,676
Non current liabilities	-	-	(21,277)	(21,056)	(21,277)	(21,056)
Current liabilities	(104,659)	(154,788)	(1,717)	(6,590)	(106,376)	(161,378)
Total liabilities	(104,659)	(154,788)	(22,994)	(27,646)	(127,653)	(182,434)
Net Assets	29,770	3,282	2,359,594	2,371,960	2,389,364	2,375,242
Group carrying amount of the investment	14,587	1,608	594,618	597,734	609,205	599,342
Revenue	17,503	18,874	-	-	17,503	18,874
Profit/ (loss) from continuing operation	38,887	25,114	22,345	64,038	61,232	89,152
Profit after tax	26,489	1,036	19,708	59,154	46,197	60,190
Total comprehensive income	26,489	1,036	19,708	59,154	46,197	60,190
Group share of profit/(loss) for the year	12,979	508	4,967	14,907	17,946	15,415

20 RELATED PARTY DISCLOSURES

20.1 Amounts due to subsidiaries

As at 31st March	Company	
	2026	2025
	Rs. '000	Rs. '000
Carbokarn Co. Ltd.	5,653	150,332
Haycarb USA Inc.	-	378
Eurocarb Products Ltd.	64,275	40,702
Haycarb Holdings Australia (Pty) Ltd.	6,226	1,267
Haycarb Holdings Bitung Ltd.	10,668	10,970
Puritas (Pvt) Ltd.	33,404	5,956
Recogen (Pvt) Ltd.	-	39,103
Shisuka Co. Ltd.	-	24,818
Ultracarb (Pvt) Ltd.	-	1,533
	120,226	275,059

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20.2 Amounts due to other related parties

As at 31st March	Relationship	Consolidated		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Hayleys PLC	Parent	399,811	370,687	392,180	363,153
Advantis Express (Pvt) Ltd.	Fellow subsidiary	4,017	4,396	4,004	4,396
Advantis Freight (Pvt) Ltd.	Fellow subsidiary	10,595	13,335	10,595	12,438
Advantis Projects & Engineering (Pvt) Ltd.	Fellow subsidiary	-	2,327	-	1,940
Chas P. Hayley & Company (Pvt) Ltd.	Fellow subsidiary	327	1,173	327	1,173
Charles Fibre (Pvt) Ltd.	Fellow subsidiary	-	157,515	-	-
CEVA Logistics Lanka (Private) Limited	Fellow subsidiary	2,145	230	2,145	230
Clarion Shipping (Private) Limited	Fellow subsidiary	1,989	-	1,989	-
Dipped Products PLC	Fellow subsidiary	-	899	-	899
Energynet (Pvt) Ltd.	Fellow subsidiary	2,525	-	2,525	-
Fentons Limited	Fellow subsidiary	1,916	186,031	1,916	186,031
Hayleys Agriculture Holdings Limited	Fellow subsidiary	1,241	-	1,241	-
Hayleys Aventura (Pvt) Ltd.	Fellow subsidiary	-	5,771	-	5,771
Hayleys Business Solutions (Pvt) Ltd.	Fellow subsidiary	1,755	2,222	1,532	2,053
Hayleys Lifesciences (Pvt) Ltd.	Fellow subsidiary	71	3,796	71	3,500
Hayleys Travels (Pvt) Ltd.	Fellow subsidiary	9,996	4,609	9,883	4,528
Key Management Personnel - Carbokarn Co. Ltd.*	KMP	1,824,580	1,682,504	-	-
Logiwis Ltd.	Fellow subsidiary	704	407	704	407
Mountain Hawk (Pvt) Ltd	Fellow subsidiary	2,096	-	2,096	-
Mountain Hawk Express (Pvt) Ltd.	Fellow subsidiary	-	112	-	-
Singer (Sri Lanka) PLC	Fellow subsidiary	5,956	-	-	-
Sri Lanka Shipping Company Limited	Fellow subsidiary	631	930	631	930
The Kingsbury PLC	Fellow subsidiary	337	1,192	337	1,192
Toyo Cushion Lanka (Pvt) Ltd.	Fellow subsidiary	-	793	-	-
Other Hayleys companies	Fellow subsidiary	350	384	308	188
		2,271,042	2,439,313	432,484	588,829

*Equity partners of the Carbokarn Group have provided loans to these companies for working capital requirements at the current market rates prevailing in Thailand, which is MLR (Thailand) -1% per annum during the financial year.

20.3 Amounts due from subsidiaries

As at 31st March	Company	
	2025/26 Rs. '000	2024/25 Rs. '000
Carbokarn Co. Ltd.	169,204	158,088
Haycarb Holdings Australia (Pty) Ltd.	168,986	-
Haycarb Philipinnes Corporation	29,935	-
Haycarb Singapore Pte Ltd.	19,159	17,874
Haycarb USA Inc	106,049	-
Puritas (Pvt) Ltd.	24,935	28,643
PT Mapalus Makawanua Charcoal Industry	88,244	2,353
PT Haycarb Palu Mitra	24,024	1,244
Puricarb Pte Ltd.	4	4
Recogen (Pvt) Ltd.	65,528	-
	696,068	208,206

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20 RELATED PARTY DISCLOSURES CONTD.

20.4 Amounts due from other related parties

As at 31st March	Relationship	Consolidated		Company	
		2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Hayleys PLC	Parent	575	589	-	-
Advantis Express (Pvt) Ltd.	Fellow subsidiary	120	204	-	-
Alco Industries (Pvt) Ltd.	Fellow subsidiary	194	0	-	-
Alumex PLC	Fellow subsidiary	498	0	-	-
Chas P Hayley & Company (Pvt) Ltd.	Fellow subsidiary	20,259	5,980	-	-
Charles Fibre (Pvt) Ltd.	Fellow subsidiary	2,091	-	-	-
Ceylon Ocean Lines Limited	Fellow subsidiary	198	-	-	-
Creative Polymats (Pvt) Ltd.	Fellow subsidiary	460	508	-	-
Dipped Products PLC	Fellow subsidiary	67,038	37,757	28,756	36,166
Fentons Limited	Fellow subsidiary	538	2,459	-	2,321
Haycolour (Pvt) Ltd.	Fellow subsidiary	-	230	-	-
Hayleys Agriculture Holding Ltd.	Fellow subsidiary	156	148	-	-
Hayleys Aventura (Pvt) Ltd.	Fellow subsidiary	364	-	-	-
Hayleys Fibre PLC	Fellow subsidiary	5,349	1,627	4,059	1,588
Hayleys Fabric PLC	Fellow subsidiary	354	-	-	-
Hayleys Free Sone Limited	Fellow subsidiary	623	-	-	-
Kandyan Resorts (Pvt) Ltd.	Fellow subsidiary	10,641	-	-	-
Kelani Valley Plantation PLC	Fellow subsidiary	1,334	501	-	-
Logiwis Ltd	Fellow subsidiary	1,960	1,102	-	-
Martin Bauer Hayleys (Pvt) Ltd.	Fellow subsidiary	1,929	330	-	-
Mountain Hawk (Pvt) Ltd	Fellow subsidiary	219	219	-	-
Ravi Industries Ltd	Fellow subsidiary	608	188	-	-
Rileys (Pvt) Ltd.	Fellow subsidiary	3,017	3,017	1,161	1,161
South Asia Textiles (Pvt) Ltd	Fellow subsidiary	2,591	-	-	-
Singer (Sri Lanka) PLC	Fellow subsidiary	6,408	3,356	-	-
Singer Finance (Lanka) PLC	Fellow subsidiary	53	106	-	-
S & T Interiors (Pvt) Ltd.	Fellow subsidiary	124	522	-	-
The Kingsbury PLC	Fellow subsidiary	216	216	-	-
Toyo Cushion Lanka (Pvt) Ltd.	Fellow subsidiary	9,171	550	403	403
Volanka (Pvt) Ltd.	Fellow subsidiary	-	130	-	131
Other Hayleys group companies	Fellow subsidiary	476	1,232	42	42
		137,564	60,971	34,421	41,812

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

20.5 Amounts due from equity accounted investees

		Consolidated		Company	
As at 31st March		2026	2025	2026	2025
	Relationship	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Lakdiyatha (Pvt) Ltd.	Associate	90,209	84,483	1,383	792
		90,209	84,483	1,383	792

21 INVENTORIES

		Consolidated		Company	
As at 31st March		2026	2025	2026	2025
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Raw materials and consumables		12,461,697	6,390,816	6,127,388	3,144,189
Finished and semi finished goods		10,380,523	8,783,475	4,452,852	2,667,062
Project in progress		658,746	293,223	-	-
		23,500,966	15,467,514	10,580,240	5,811,251
Provision for slow moving inventories	21.1	(308,061)	(311,248)	(227,656)	(220,211)
Total inventories at the lower of cost and net realisable value		23,192,905	15,156,266	10,352,584	5,591,040

21.1 Movement of provision for slow moving inventories

		Consolidated		Company	
For the year ended 31st March		2026	2025	2026	2025
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
At the beginning of the year		311,248	507,030	220,211	207,867
Provision /(reversal) for slow moving inventories		(3,187)	37,627	7,445	12,344
Write off during the year		-	(233,409)	-	-
At the end of the year	21	308,061	311,248	227,656	220,211

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22 TRADE AND OTHER RECEIVABLES

As at 31st March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables - External customers		14,170,818	7,211,607	5,321,348	2,026,484
- Inter company		-	-	3,115,905	4,442,130
Less: Provision for impairment on trade receivables	22.1	(188,284)	(182,719)	-	-
		13,982,534	7,028,888	8,437,253	6,468,614
Loans to employees		70,527	47,836	70,527	47,836
		14,053,061	7,076,724	8,507,780	6,516,450

22.1 Movement of provision for impairment on trade receivables

For the year ended 31st March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
At the beginning of the year		182,719	181,981	-	-
Impairment loss of trade receivables		5,565	738	-	-
At the end of the year	22	188,284	182,719	-	-

22.2 The age analysis of trade receivables is as follows :

Consolidated	Total	Neither past due nor impaired	Past due not impaired		
			0-60 Days	61-120 Days	Above 120 Days
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 31st March 2026	13,982,534	12,808,629	1,068,987	47,276	57,642
Balance as at 31st March 2025	7,028,888	5,402,492	1,355,334	122,038	149,024

Company	Total	Neither past due nor impaired	Past due not impaired		
			0-60 Days	61-120 Days	Above 120 Days
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 31st March 2026	5,321,348	4,908,677	412,671	-	-
Balance as at 31st March 2025	2,026,484	1,149,594	876,890	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22.3 Currency wise analysis of trade receivables

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	928,330	667,130	144,835	375,985
United States Dollars	10,092,047	4,607,972	7,981,043	5,690,836
Pound Sterling	32,372	27,879	252,655	122,390
Euro	1,499,879	428,075	58,719	279,403
Indonesian Rupiah	179,642	692,272	-	-
Thai Baht	1,026,083	536,755	-	-
Australian Dollars	412,465	167,617	-	-
Maldivian Rufiya	-	83,907	-	-
	14,170,818	7,211,607	8,437,252	6,468,614

22.4 Movement of loans to employees (Loans above Rs. 20,000/-)

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
At the beginning of the year	21,599	8,306	21,599	8,306
Granted during the year	21,032	18,322	21,032	18,322
	42,631	26,628	42,631	26,628
Repaid during the year	(4,889)	(5,029)	(4,889)	(5,029)
At the end of the year	37,742	21,599	37,742	21,599
Number of loans over Rs. 20,000/-	21	18	21	18

No loans have been given to the Directors of the Company.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

23 NON - CURRENT FINANCIAL ASSETS

For the year ended 31st March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Equity investments designated at FVTOCI					
Unquoted equity shares					
Quality Seed Co. Ltd.		490	490	490	490
Barrack Gold Corporation		193	193	-	-
Effect of movement in exchange rates		142	95	-	-
Unquoted equity investments		825	778	490	490
Quoted equity shares					
Dipped Products PLC					
Fair value at the beginning of the year		2,237,810	1,236,898	2,237,810	1,236,898
Change in fair value		(227,849)	1,000,912	(227,849)	1,000,912
Fair value at the end of the year	23.1	2,009,961	2,237,810	2,009,961	2,237,810
Equity investments designated at FVTOCI		2,010,786	2,238,588	2,010,451	2,238,300
Financial assets at amortised cost					
Receivable from suppliers					
At the beginning of the year		49,381	47,534	-	-
Granted during the year		-	-	-	-
Settlements during the year		(2,713)	(1,066)	-	-
Effect of movement in exchange rates		5,101	2,913	-	-
At the end of the year		51,769	49,381	-	-
Total non-current financial assets		2,062,555	2,287,969	2,010,451	2,238,300

23.1 Market price and cost of investments in quoted shares

Dipped Products PLC	No of shares	Market price per share	Market Value	Total cost
			Rs.'000	Rs.'000
As at 31st March 2026	40,687,460	Rs. 49.40	2,009,961	40,170
As at 31st March 2025	40,687,460	Rs. 55.00	2,237,810	40,170

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

24 OTHER CURRENT ASSETS

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deposits and payments in advance	1,335,627	1,070,141	796,305	700,392
Other receivables	1,070,670	484,658	428,618	20,122
Tax recoverable	144,018	122,300	141,893	120,214
	2,550,315	1,677,099	1,366,816	840,728

25 CASH IN HAND AND AT BANK

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash in hand	48,256	11,670	44,470	7,508
Bank balances	2,159,280	1,622,077	848,575	228,100
Short-term deposits	655,728	2,453,973	456,239	905,895
	2,863,264	4,087,720	1,349,284	1,141,503

25.1 Currency wise analysis of cash in hand and at bank

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	366,297	1,196,613	300,901	674,773
United States Dollars	1,446,133	1,804,944	1,047,471	447,604
Pound Sterling	34,649	39,008	521	13,724
Euros	135,015	23,509	391	5,402
Australian Dollars	331	39,816	-	-
Indonesian Rupiah	37,225	154,927	-	-
Thai Baht	641,478	726,147	-	-
Maldivian Rufiyaa	202,136	102,756	-	-
	2,863,264	4,087,720	1,349,284	1,141,503

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

25 CASH IN HAND AND AT BANK CONTD.

25.2 For the purpose of the Statement of Cash Flows, cash and cash equivalents comprise of the following:

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cash in hand and at bank	2,207,536	1,633,747	893,045	235,608
Short-term deposits	655,728	2,453,973	456,239	905,895
Bank overdrafts & short term borrowings	(13,474,962)	(3,928,800)	(7,834,310)	(2,122,624)
Cash and cash equivalents for the purpose of statement of cash flows	(10,611,698)	158,920	(6,485,026)	(981,121)

26 STATED CAPITAL

Issued and fully-paid - ordinary shares

As at 31 March	Company	
	2026	2025
	Rs. '000	Rs. '000
Issued and fully paid - ordinary shares		
At the beginning of the year - 297,123,750 (1st April 2024 - 297,123,750)	331,774	331,774
At the end of the year - 297,123,750 (31st March 2025 - 297,123,750)	331,774	331,774

27 RESERVES

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Capital reserves	27.1	1,070,985	1,070,985	1,742,716	720,587
Revenue reserves	27.2	27,963,347	25,131,330	16,824,103	15,690,514

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

27.1 Capital reserves - Attributable to equity holders of the parent

	Revaluation surplus Rs.'000	Reserve on amalgamation Rs.'000	Legal reserve Rs.'000	Total Rs.'000
Consolidated				
Balance as at 31st March 2024	858,864	25,885	6,541	891,290
Revaluation of lands	271,980			271,980
Tax effect on revaluation surplus	(92,285)	-	-	(92,285)
Balance as at 31st March 2025	1,038,559	25,885	6,541	1,070,985
Revaluation of lands	-	-	-	-
Tax effect on revaluation	-	-	-	-
Balance as at 31st March 2026	1,038,559	25,885	6,541	1,070,985
				-
Company				
Balance as at 31st March 2024	428,049	92,048	-	520,097
Revaluation of lands	286,414	-	-	286,414
Tax effect on revaluation	(85,924)	-	-	(85,924)
Balance as at 31st March 2025	628,539	92,048	-	720,587
Amalgamation of Ultracarb (Pvt) Ltd	-	1,022,129		1,022,129
Tax effect on revaluation surplus	-	-	-	-
Balance as at 31st March 2026	628,539	1,114,177	-	1,742,716

- » Legal reserve relates to a statutory reserve created under Carbokarn Co. Ltd. Thailand.
- » Amalgamation reserve of Rs. 25,885,000/- in consolidated financial statements consists of Rs. 23,758,000/- created at the time of amalgamation of Deltacarb Ltd and Pelaco Ltd with Haycarb PLC in year 1999 and year 2004 respectively. Balance Rs. 2,127,000/- is attributable to amalgamation of PT Mapalus Makawanua Charcoal Industry in 2012.
- » The amalgamation reserve of Rs. 1,114,177,000 in the financial statements of the Company comprises the following.
 - Rs. 92,048,000 recognised during the financial year 2022/23, arising from the amalgamation of Haycarb Value Added Products (Pvt) Ltd with Haycarb PLC, effective 28 December 2022; and
 - Rs. 1,022,129,000 recognised during the financial year 2025/26, resulting from the amalgamation of Ultracarb (Pvt) Ltd with Haycarb PLC, effective 01 October 2025.
- » Revaluation surplus consists of net surplus resulting from the valuation of Property, plant and equipment. The unrealised value cannot be distributed to shareholders.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

27 RESERVES CONTD.

27.2 Revenue Reserves

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Fair Value Reserve of Financial Assets at FVTOCI	1,969,790	2,197,639	1,969,790	2,197,639
Foreign currency translation reserve	4,137,138	3,455,430	-	-
General reserve	519,353	519,353	519,353	519,353
Retained Earnings				
Haycarb PLC	14,334,960	12,973,522	14,334,960	12,973,522
Subsidiaries	6,510,304	5,503,447	-	-
Associates	491,802	481,939	-	-
	21,337,066	18,958,908	14,334,960	12,973,522
	27,963,347	25,131,330	16,824,103	15,690,514

Fair Value Reserve of Financial Assets at FVTOCI

Fair value reserve comprises the cumulative net change in fair value of financial assets designated as Fair Value Through Other Comprehensive Income (FVTOCI).

Foreign currency translation reserve

Foreign currency translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

General Reserve

General reserve which is a revenue reserve represents the amounts set aside by the board of directors for general application.

28 INTEREST-BEARING LOANS AND BORROWINGS

28.1 Non-current portion of interest bearing loans and borrowings

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Lease obligations	28.3	1,227,775	1,387,727	120,192	126,748
Long-term borrowings	28.4	2,204,413	1,360,386	1,831,542	333,852
		3,432,188	2,748,113	1,951,734	460,600

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28.2 Current portion of interest bearing borrowings

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Lease obligations	28.3	105,749	101,587	48,533	33,804
Long-term loans	28.4	1,212,701	623,063	1,082,603	304,503
Short-term loans	28.5	13,127,802	2,853,600	7,543,676	1,120,581
Bank overdrafts	28.6	347,160	1,075,200	290,634	1,002,043
		14,793,412	4,653,450	8,965,446	2,460,931

28.3 Lease obligations

For the year ended 31 March	Consolidated						Company	
	2026			2025			2026	2025
	Land Rs.'000	Buildings Rs.'000	Total Rs.'000	Land Rs.'000	Buildings Rs.'000	Total Rs.'000	Buildings Rs.'000	Buildings Rs.'000
At the beginning of the year	1,081,025	408,289	1,489,314	-	502,478	502,478	160,552	260,270
Additions during the year	-	-	-	1,080,388	57,004	1,137,392	-	-
Increases to recognised assets	17,583	-	17,583	-	-	-	-	-
Accretion of interest	48,336	35,972	84,308	30,056	46,267	76,323	18,284	20,490
Payments to lease creditors	(144,116)	(129,887)	(274,003)	(30,919)	(125,025)	(155,944)	(57,097)	(49,794)
Derecognition during the year	-	-	-	-	(70,414)	(70,414)	-	(70,414)
Amalgamation of subsidiary	-	-	-	-	-	-	46,986	-
Effect of movement in exchange rates	8,333	7,989	16,322	1,499	(2,020)	(521)	-	-
At the end of the year	1,011,161	322,363	1,333,524	1,081,024	408,290	1,489,314	168,725	160,552
Current portion of lease liability	-	105,749	105,749	9,990	91,597	101,587	48,533	33,804
Non-current portion of lease liability	1,011,161	216,614	1,227,775	1,071,034	316,693	1,387,727	120,192	126,748
At the end of the year	1,011,161	322,363	1,333,524	1,081,024	408,290	1,489,314	168,725	160,552

28.3.1 Amounts recognised in the statement of profit or loss

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Amortisation of Right-of-Use Assets	100,818	106,538	43,871	38,168
Accretion of interest	35,972	46,267	18,284	20,490
Total amount recognised in the statement of profit or loss	136,790	152,805	62,155	58,658

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28 INTEREST-BEARING LOANS AND BORROWINGS CONTD.

28.3 Lease Obligations Contd.

28.3.2 Aging analysis of lease liability

Consolidated	Total	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	Over 5 years
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
As at 31.03.2026	1,333,524	-	25,325	80,424	186,231	101,128	940,416
As at 31.03.2025	1,489,314	-	26,356	75,231	107,809	266,060	1,013,858

Company	Total	On demand	Less than 3 months	3 to 12 months	1 to 2 years	2 to 5 years	Over 5 years
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
As at 31.03.2026	168,725	-	11,647	36,885	54,054	66,139	-
As at 31.03.2025	160,552	-	8,107	25,697	37,716	89,032	-

28.3.3 Currency wise analysis of lease obligations

	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	209,725	264,459	168,725	160,552
United States Dollars	112,638	143,831	-	-
Philippine Peso	1,011,161	1,081,024	-	-
	1,333,524	1,489,314	168,725	160,552

28.4 Long term borrowings

As at 31 March	Note	Consolidated		Company		
		2026	2025	2026	2025	
		Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Non-current interest-bearing loans and borrowings						
Secured term loans						
At the beginning of the year		1,983,449	509,470	638,355	167,760	
Loans obtained during the year		2,135,250	1,904,496	2,135,250	746,496	
Transfer on amalgamation		-	-	655,911	-	
Effect of movements in foreign exchange rates		99,682	(18,700)	98,253	(18,162)	
		4,218,381	2,395,266	3,527,769	896,094	
Repayments during the year		(801,267)	(411,817)	(613,624)	(257,739)	
At the end of the year		3,417,114	1,983,449	2,914,145	638,355	
Repayable within one year		28.2	(1,212,701)	(623,063)	(1,082,603)	(304,503)
Repayable after one year		28.1	2,204,413	1,360,386	1,831,542	333,852

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28.4.1 Analysis of secured term loans by year of repayment

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Repayable between 1-2 years from the year end		1,386,140	542,113	1,754,971	257,281
Repayable between 2-5 years from the year end		818,273	818,273	76,571	76,571
Total non-current borrowings	28.1	2,204,413	1,360,386	1,831,542	333,852

28.4.2 Currency wise analysis of long term loans

As at 31st March		Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees		1,018,322	1,401,056	522,922	66,112
United States Dollars		2,391,223	572,243	2,391,223	572,243
Australian Dollars		7,569	10,150	-	-
		3,417,114	1,983,449	2,914,145	638,355

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28 INTEREST-BEARING LOANS AND BORROWINGS CONTD.

28.4 Long term borrowings Contd.

28.4.3 Details of Long term interest bearing loans.

Company	Lender	Rate of interest	31.03.2026 Rs. '000	31.03.2025 Rs. '000	Repayment terms	Security
Haycarb PLC	The Hongkong & Shanghai Banking Corporation Ltd	1 Month HSBC Bank cost of funds +3% *	-	9,444	16 monthly instalments	None
	Pan Asia Banking Corporation PLC	3 Month SOFR + 3.5% p.a with a rebate of 2% p.a	83,526	324,408	35 monthly equal capital repayments	None
	Bank of China	3 Month SOFR + 1.35% p.a	919,917	-	12 Quarterly instalments	None
	The Hongkong & Shanghai Banking Corporation Ltd (Singapore Branch)	SOFR Reference rate +2.65% p.a	473,100	-	20 Quarterly instalments	None
Transferred to Haycarb PLC on amalgamation of Ultracarb (Pvt) Ltd	Nations Trust Bank PLC	Monthly AWPLR (to be reviewed every 3 months from the loan granted date)	355,000	498,153	53 monthly equal capital repayments with 6 months grace period from the date of loan granted	None
Ultracarb (Pvt) Ltd.	The Hongkong & Shanghai Banking Corporation Ltd	1 Month HSBC Bank cost of funds +3% *	-	25,278	16 monthly instalments	None
Haycarb Holding Australia Pty Ltd.	Power Torque Finance	2.95%	-	1,319	48 equal monthly instalments commencing from March 2022	None
	Chattel Mortgage	7.89%	5,870	6,384	48 equal monthly instalments + final payment of AUD 27,279 commencing from June 2023	None
Recogen (Pvt) Ltd.	Nations Trust Bank PLC	Monthly AWPLR (to be reviewed every 3 months from the loan granted date)	367,000	495,400	53 monthly equal capital repayments with 6 month grace period from the date of loan granted	None
Total secured term loans repayable after one year			2,204,413	1,360,386		

Fair value of the interest-bearing loans and borrowings of the Group Rs.18,225,600,000/- (31 st March 2025-Rs. 7,401,563,000/-) Company Rs.10,917,180,000/- (31st March 2025- Rs.2,921,531,000/-).

* Loans granted under the green loan principles of HSBC.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

28.5 Currency wise analysis of short term loans

As at 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	4,815,000	300,000	4,515,000	250,000
United States Dollars	6,001,330	2,013,737	3,028,676	870,581
Indonesian Rupiah	2,311,472	539,863	-	-
	13,127,802	2,853,600	7,543,676	1,120,581

28.6 Currency wise analysis of bank overdrafts

As at 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	137,870	483,266	85,725	410,108
United States Dollars	204,909	591,934	204,909	591,935
Pounds Sterling	4,381	-	-	-
	347,160	1,075,200	290,634	1,002,043

29 DEFINED BENEFIT OBLIGATIONS

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
(i) Expenses recognised in the statement of profit or loss					
Current service cost	29 (iv)	128,306	113,933	87,761	79,217
Interest cost	29 (iv)	166,770	164,865	148,979	156,549
The total expense recognised in administrative expenses in the statement of profit or loss		295,076	278,798	236,740	235,766
(ii) Actuarial gains/(losses) recognised directly in OCI					
Actuarial gain/(loss) recognised in OCI	29 (iv)	(49,485)	86,473	(39,905)	96,115
		(49,485)	86,473	(39,905)	96,115
(iii) Present value of defined benefit obligations					
Present value of defined benefit obligations	29 (iv)	2,126,914	1,833,504	1,588,506	1,396,842
		2,126,914	1,833,504	1,588,506	1,396,842

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

29 DEFINED BENEFIT OBLIGATIONS CONTD.

As at 31 March		Consolidated		Company	
		2026	2025	2026	2025
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
(iv) Movement of provision for defined benefit obligations					
At the beginning of the year		1,833,504	1,737,269	1,396,842	1,351,969
Interest cost	29 (i)	166,770	164,865	148,979	156,549
Current service cost	29 (i)	128,306	113,933	87,761	79,217
Employee benefits paid		(94,127)	(109,690)	(84,149)	(93,154)
Actuarial (gain)/loss on defined benefit obligations	29 (ii)	49,485	(86,473)	39,905	(96,115)
Release of liability due to employee transfers		-	-	(832)	(1,624)
Effect of movement in exchange rates		42,976	13,600	-	-
At the end of the year		2,126,914	1,833,504	1,588,506	1,396,842
Legal Liability		1,611,367	1,473,744	1,079,161	974,682

29.1 Actuarial assumptions

As at 31st March		Consolidated		Company	
		2026	2025	2026	2025
		%	%	%	%
Sri Lanka					
Discount rate:		10.00	11.00	10.00	11.00
Salary escalation rate		9.00	10.00	9.00	10.00
Indonesia					
Discount rate:		6.72	6.97		
Salary escalation rate		8.50	8.50		
Thailand					
Discount rate:		2.25	2.75		
Salary escalation rate		2.50	2.50		

Assumptions regarding future mortality are based on the A1967/70 for staff/executive and A1949/52 for worker, issued by the Institute of Actuaries, London.

The demographic assumptions underlying the valuation are with respect to retirement age early withdrawal from service and retirement on medical grounds.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

29.2 Distribution of the employee benefit obligations over future working lifetime

As at 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Less than or equal to 1 Year	234,243	209,709	108,609	94,899
Over 1 year and less than or equal to 5 years	450,811	405,531	357,739	332,929
Over 5 year and less than or equal to 10 years	894,839	698,762	692,573	551,347
Over 10 years	547,021	519,502	429,585	417,667
	2,126,914	1,833,504	1,588,506	1,396,842

The expenses recognised is included in administration expenses in the Financial Statements. LKAS 19 requires the use of actuarial techniques to make a reliable estimate of the employee benefit that employees have earned in return for their service in the current and prior periods and discount that benefits using the Projected Unit Credit Method in order to determine how much benefit is attributable to the current and prior periods and to make estimates about demographic variables that will influence the cost of the benefit. As per LKAS 19 gain or loss arising from actuarial valuation is recognised in other comprehensive income.

The Actuarial Valuation was carried out by a professionally qualified Actuary, Actuarial and Management Consultant (Pvt) Ltd. for Sri Lanka and Thailand entities and Kantor Konsultan Aktuaria Bubi Rumdani for Indonesia entities as at 31st March 2026

The Group operates an unfunded defined benefit plan and does not hold any plan assets as at the reporting date.

29.3 Sensitivity analysis for key actuarial assumptions

Salary escalation rate/ Discount rate

Values appearing in the financial statements are sensitive to the changes in the financial and non financial assumptions used.

As at 31 March		Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Present Value of defined benefit obligation					
Discount rate	+1%	1,978,116	1,698,506	1,470,955	1,292,115
Discount rate	-1%	2,306,334	1,982,134	1,721,220	1,515,279
Salary escalation rate	+1%	2,311,131	1,986,612	1,728,699	1,521,774
Salary escalation rate	-1%	1,971,279	1,692,290	1,462,475	1,284,746

30 DEFERRED TAX ASSETS / LIABILITIES

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets	30.1	264,034	268,814	-	-
Deferred tax liabilities	30.2	(385,264)	(246,779)	(353,964)	(129,385)
		(121,230)	22,035	(353,964)	(129,385)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30 DEFERRED TAX ASSETS / LIABILITIES CONTD.

30.1 Deferred tax assets

For the Year Ended 31 March	Note	Consolidated	
		2026	2025
		Rs. '000	Rs. '000
At the beginning of the year		268,814	239,963
Origination and reversal of temporary differences	30.1.2	(4,780)	28,851
At the end of the year		264,034	268,814

30.1.1 Deferred tax assets are attributable to the followings

As at 31 March	Consolidated	
	2026	2025
	Rs. '000	Rs. '000
Consolidated		
Property, plant and equipment	(9,912)	(2,081)
Inventory provision	23,304	23,955
Debtor provision	56,485	51,597
Carried forward tax losses	68,747	79,711
Defined benefit obligations	134,770	108,381
Unrealised exchange gains	(475)	5,322
Other items	(8,885)	1,929
Net deferred tax asset	264,034	268,814

30.1.2 Movement of deferred tax assets and the composition

Consolidated	Balance as at 31.03.2025	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Effect of movement in exchange rate	Balance as at 31.03.2026
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(2,081)	(7,833)	-	2	(9,912)
Inventory provision	23,955	(651)	-	-	23,304
Debtor provision	51,597	4,888	-	-	56,485
Carried forward tax losses	79,711	(10,964)	-	-	68,747
Defined benefit obligations	108,381	14,606	2,179	9,604	134,770
Unrealised exchange gains	5,322	(5,870)	-	73	(475)
Other items	1,929	(10,814)	-	-	(8,885)
Net deferred tax asset	268,814	(16,638)	2,179	9,679	264,034

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Consolidated	Balance as at 31.03.2024	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Effect of movement in exchange rate	Balance as at 31.03.2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(6,872)	4,789	-	2	(2,081)
Inventory provision	87,539	(63,584)	-	-	23,955
Debtor provision	51,213	384	-	-	51,597
Carried forward tax losses	5,835	73,876	-	-	79,711
Defined benefit obligations	97,796	10,287	2,073	(1,775)	108,381
Unrealised exchange gains	3,602	1,647	-	73	5,322
Other items	850	1,079	-	-	1,929
Net deferred tax asset	239,963	28,478	2,073	(1,700)	268,814

30.1.3 Composition of temporary difference related to deferred tax assets

As at 31st March	Consolidated	
	2026 Rs. '000	2025 Rs. '000
Property, plant and equipment	(41,175)	(8,522)
Inventory provision	77,678	79,851
Debtor provision	188,284	171,990
Carried forward tax losses	251,397	354,761
Defined benefit obligations	615,195	497,007
Unrealised exchange gains	(2,519)	17,741
Other items	(2,359)	6,430
	1,086,501	1,119,258

30.2 Deferred tax liabilities

For the year ended 31st March	Consolidated		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
At the beginning of the year	246,779	192,185	129,385	125,541
Transfers on amalgamation	-	-	101,950	-
Origination and reversal of temporary differences	138,485	54,594	122,629	3,844
At the end of the year	385,264	246,779	353,964	129,385

30.2.1 Deferred tax liabilities are attributable to the followings.

As at 31st March	Consolidated		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Property, plant and equipment	(1,067,038)	(934,428)	(1,011,571)	(787,159)
Inventory provision	69,115	69,419	68,297	66,063
Carried forward tax losses	20,512	16,422	-	-
Defined benefit obligations	479,388	421,893	476,552	419,053
Unrealised exchange gains/(losses)	4,838	(4,405)	4,838	(5,127)
Other items	107,921	184,320	107,920	177,785
Net deferred tax liabilities	(385,264)	(246,779)	(353,964)	(129,385)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30 DEFERRED TAX ASSETS / LIABILITIES CONTD.

30.2.2 Movement of deferred tax liabilities and the composition

Consolidated	Balance as at 31st March 2025	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Balance as at 31st March 2026
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(934,428)	(132,610)	-	(1,067,038)
Inventory provision	69,419	(304)	-	69,115
Carried forward tax losses	16,422	4,090	-	20,512
Defined benefit obligations	421,893	45,897	11,598	479,388
Unrealised exchange gains/(losses)	(4,405)	9,243	-	4,838
Other items	184,320	(76,399)	-	107,921
Net deferred tax liabilities	(246,779)	(150,083)	11,598	(385,264)

Consolidated	Balance as at 31st March 2024	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Balance as at 31st March 2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(718,585)	(123,558)	(92,285)	(934,428)
Inventory Provision	64,569	4,850	-	69,419
Carried forward tax losses	24,057	(7,635)	-	16,422
Defined benefit obligations	408,084	42,903	(29,094)	421,893
Unrealised exchange gains/(losses)	29,407	(33,812)	-	(4,405)
Other items	283	184,037	-	184,320
Net deferred tax liabilities	(192,185)	66,785	(121,379)	(246,779)

30.2.3 Movement of deferred tax liabilities and the composition:

Company	Balance as at 31st March 2025	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Transfers on amalgamation	Balance as at 31st March 2026
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(787,159)	(111,681)	-	(112,731)	(1,011,571)
Inventory provision	66,063	(643)	-	2,877	68,297
Defined benefit obligations	419,053	45,526	11,973	-	476,552
Unrealised exchange gains/(losses)	(5,127)	6,777	-	3,188	4,838
Other items	177,785	(74,581)	-	4,716	107,920
Net deferred tax liabilities	(129,385)	(134,602)	11,973	(101,950)	(353,964)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Company	Balance as at 31st March 2024	Recognised in Statement of Profit or Loss	Recognised in Other Comprehensive Income	Balance as at 31st March 2025
	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Property, plant and equipment	(622,446)	(78,789)	(85,924)	(787,159)
Inventory provision	62,360	3,703	-	66,063
Defined benefit obligations	405,566	42,321	(28,834)	419,053
Unrealised exchange gains/(losses)	28,870	(33,997)	-	(5,127)
Other items	109	177,676	-	177,785
Net deferred tax liabilities	(125,541)	110,914	(114,758)	(129,385)

30.2.4 Composition of temporary difference related to deferred tax liabilities

As at 31st March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Property, plant and equipment	(3,556,794)	(3,113,599)	(3,371,904)	(2,623,861)
Inventory provision	230,382	231,397	227,656	220,211
Carried forward tax losses	68,572	54,738	-	-
Defined benefit obligations	1,597,961	1,406,308	1,588,506	1,396,842
Unrealised exchange gains/(losses)	16,127	(14,682)	16,127	(17,091)
Other items	359,736	614,400	359,736	592,617
	(1,284,016)	(821,438)	(1,179,879)	(431,282)

30.3 Details of unutilised tax losses and their expiry profile

As at the reporting date, the Group has accumulated unutilised tax losses arising from its operations in Sri Lanka and certain overseas subsidiaries. These tax losses are available to be carried forward and set off against future taxable profits, subject to applicable tax laws and regulations in the respective jurisdictions.

Deferred tax assets have been recognised on unutilised tax losses only to the extent that it is probable that future taxable profits will be available against which such losses can be utilised.

Unutilised tax losses and deferred asset recognised as at 31 March	2026		2025	
	Tax loss	Deferred tax asset recognised	Tax loss	Deferred tax asset recognised
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recognised under group deferred tax asset	287,989	68,747	314,534	79,711
Recognised under group deferred tax liabilities	68,572	20,512	54,738	16,422
Total	356,561	89,259	369,272	96,133

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

30 DEFERRED TAX ASSETS / LIABILITIES CONTD.

30.3 Details of unutilised tax losses and their expiry profile Contd.

The expiry profile of unutilised tax losses are as follows:

Consolidated		Total	Within 1 year	1-2 years	2-3 years	3-5 years	Beyond 5 years
As at 31 March 2026	Rs.'000	356,561	29,077	-	69,086	45,236	213,162
As at 31 March 2025	Rs.'000	369,272	12,926	29,077	12,734	-	314,535

30.4 Unrecognised deferred Tax assets

As at the reporting date, the Group does not have any unrecognised deferred tax assets relating to unused tax losses, deductible temporary differences, or unused tax credits.

Deferred tax assets arising from such items have been fully recognised in the consolidated financial statements, as management has determined that it is probable that sufficient future taxable profits will be available against which these can be utilised.

Accordingly, no deferred tax assets remain unrecognised as at 31st March 2026 (As at 31st March 2025- Nil).

31 TRADE AND OTHER PAYABLES

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade payables		2,895,275	1,015,537	1,638,741	614,309
Freight payables		191,911	227,434	146,885	171,716
Salaries and wages		555,686	673,159	471,673	632,914
Dividend payable	31.2	226,954	211,138	226,954	211,138
Accrued expenses and other payables		2,300,254	1,345,153	547,565	410,554
		6,170,080	3,472,421	3,031,818	2,040,631

31.1 Currency wise analysis of trade and other payables

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lankan Rupees	1,338,658	835,532	1,151,546	587,949
Pounds Sterling	226,033	58,033	29,764	1,404
United States Dollars	2,621,170	1,947,151	1,813,153	1,451,278
Euros	90,609	29,454	37,356	-
Indonesian Rupiah	370,791	152,879	-	-
Thai Baht	1,365,283	429,823	-	-
Australian Dollars	157,537	19,549	-	-
	6,170,081	3,472,421	3,031,819	2,040,631

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

31.2 Dividend Payable

For the Year ended 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
At the beginning of the year					
Recognised under dividend payable		211,138	142,607	211,138	142,607
Recognised under related party		322,002	201,251	322,002	201,251
Declared during the year		1,209,294	1,129,070	1,209,294	1,129,070
Dividends paid to equity holders of the parent		(1,183,618)	(939,788)	(1,183,618)	(939,788)
At the end of the year		558,816	533,140	558,816	533,140
Recognised under related party		331,862	322,002	331,862	322,002
Recognised under dividend payable	31	226,954	211,138	226,954	211,138

32 OTHER CURRENT LIABILITIES

As at 31 March		Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payments received in advance		489,238	404,500	13,485	44,337
		489,238	404,500	13,485	44,337

33 INCOME TAX PAYABLE/(RECEIVABLE)

As at 31 March	Note	Consolidated		Company	
		2026	2025	2026	2025
		Rs. '000	Rs. '000	Rs. '000	Rs. '000
At the beginning of the year		300,425	685,058	(120,214)	340,225
Tax on current year's profit	12.2	1,370,512	1,080,675	534,352	371,792
Tax on dividend income	12.2	35,071	51,555	-	-
Under/(Over) provision in respect of previous years	12.2	(25,591)	209,161	(25,591)	209,934
Payments made during the year		(1,026,784)	(1,732,237)	(265,415)	(1,042,165)
Transfer from amalgamation		-	-	1,059	-
Effect of movement in exchange rates		56,164	6,213	-	-
At the end of the year		709,797	300,425	124,191	(120,214)
Income tax receivable at the end of the year	24	144,018	122,300	141,893	120,214
Income tax payable at the end of the year		853,815	422,725	266,084	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

34 SUMMARISED FINANCIAL INFORMATION OF SUBSIDIARIES WITH MATERIAL NON- CONTROLLING INTEREST

Summarised financial information in respect of Haycarb PLC's subsidiaries that have material non controlling interest, reflecting amount before inter-company eliminations, is set out below.

The significant figures extracted from the financials of subsidiaries with material-non controlling interest

As at 31 March	Carbokarn Co. Ltd (group)		PT.Haycarb Palu Mitra	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	14,111,187	9,510,873	3,107,597	1,870,965
Profit before tax	1,670,679	1,495,141	224,993	249,741
Cash flows from operating activities	1,045,889	940,594	(16,782)	144,521
Cash flows from investing activities	(608,926)	(228,304)	(514)	(49,931)
Cash flows from financing activities	(594,350)	(618,812)	-	(97,297)
Non-current assets	3,635,931	2,878,789	651,146	666,393
Current assets	7,048,097	5,268,614	1,671,201	917,533
Total assets	10,684,028	8,147,403	2,322,347	1,583,926
Non-current liabilities	411,993	335,231	26,475	22,234
Current liabilities	4,099,314	2,560,149	787,508	270,230
Total liabilities	4,511,307	2,895,380	813,983	292,464
Equity attributable to the owners of the company	3,376,488	2,626,011	905,018	774,877
Non-controlling interest	3,376,488	2,626,011	603,345	516,549
Non-controlling interest (%)	50	50	40	40

35 RELATED PARTY TRANSACTIONS

Transactions with key management personnel

The Directors of the Company are considered the key management personnel of the Company.

Loans to Directors

No loans have been granted to Directors of the Company.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Transactions with parent, subsidiaries, equity accounted investees and other related companies

Relationship with subsidiaries and equity accounted investees are explained in Note 18 and 19 also under Group companies in pages 404 to 408 Business segment classification is also given under Group companies.

- i) Terms and conditions of related party transactions.
Companies within the Group engage in trading transactions under normal commercial terms and conditions. Outstanding current account balances at the year end are unsecured and charged with weighted average cost of debt rate. Settlements occur in cash.
- ii) Description of Related Party Transactions
 - » Group companies engage in the sale and purchase of goods and services with each other as part of their normal trading activities.
 - » Companies of Haycarb group have paid charges on office space and other services such as export shipping, secretarial, data processing, personnel administration and other functions obtained from Hayleys PLC.
 - » Haycarb PLC provides factory space to its subsidiaries and charges rent. In addition, the Company incurs common expenses such as administration and personnel cost. Such costs are charged to subsidiaries.
- iii) No provision for impairment has been recognised in respect of amounts due from related parties as at the reporting date (2024/25- Rs. Nil), as management assesses such balances to be fully recoverable. Accordingly, no expense has been recognised during the year for doubtful debts relating to related party balances.
- iv) The Company has issued corporate guarantees to banks in respect of credit facilities obtained by certain subsidiary companies. These guarantees are disclosed under Note 37 – Contingent Liabilities.
- v) No security has been obtained for related party receivables and all related party dues are payable on demand.
- vi) Interest on related party dues are decided based on the inter bank lending rates, associated risk and purpose for which funds are used.
- vii) There are no related parties or related party transactions other than those disclosed in Note 35 to the Financial Statements.
- viii) a) Non- Recurrent Related Party Transactions

There were no non-recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets, whichever is lower, of the Group as per 31 st March 2026 audited Financial Statements, which required additional disclosures in financial statements under Colombo Stock Exchange listing Rule 9.14.8 (1) and Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission.

b) Recurrent Related Party Transactions

Recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31st March 2025 audited Financial Statements, which required additional disclosures in the financial statements under Colombo Stock Exchange listing Rule 9.14.8 (2) and Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission are disclosed below.

	Year ended 31.03.2026		Year ended 31.03.2025	
	Value of Transactions	Percentage of Gross Revenue	Value of Transactions	Percentage of Gross Revenue
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sales value of activated carbon from Haycarb PLC to Haycarb USA Inc.	8,523,027	13%	7,526,501	17%

- ix) Key management personnel compensation
The aggregate compensation paid to key management personnel during the financial year is as follows:

Category	Amount (LKR '000)
Short-term employee benefits	392,531

- x) Transactions with Advantis Projects & Engineering (Pvt) Ltd, Air Global (Pvt) Ltd., Alco Industries (Pvt) Ltd., Alumex PLC, Amaya Leisure PLC, Chas P. Hayley Company (Pvt) Ltd., Civaro Lanka (Pvt) Ltd., Creative Polymats (Pvt) Ltd., D P L Universal Gloves Limited, Dipped Products PLC, Fentons Limited, Hanwellla Rubber Products Ltd., Haylex (Japan) Ltd., Hayleys Agriculture Holdings Ltd., Hayleys Agro Fertilisers (Pvt) Ltd., Hayleys Aventura (Pvt) Ltd., Hayleys Consumer Products (Pvt) Ltd., Hayleys Fabrics PLC, Hayleys Fibre PLC, Hayleys Industrial Solutions Ltd., Hayleys Lifesciences (Pvt) Ltd., Horana Plantations PLC, Kelani Valley Plantations PLC, Laugfs Gas PLC, Logiventures (Pvt)Ltd., Logiwis (Pvt) Ltd., Mabroc Teas (Pvt) Ltd., MIT Cargo (Pvt) Ltd., North South Lines (Pvt) Ltd., Pan Asia Bank PLC, Quaity Seeds Co.Ltd., Ravi Industries (Pvt) Ltd., Rileys (Pvt) Ltd., Royal Ceramics PLC, Singer (Sri Lanka) PLC, Singer Finance PLC, Thalawakelle Tea Estates PLC, The Kingsbury PLC and Toyo Cushion Lanka (Pvt) Ltd. are given below under details of related party transactions with affiliates.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

35 RELATED PARTY TRANSACTIONS CONTD.

35.1 Transactions with related parties

For the year ended 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Transactions with related parties				
Fully-owned subsidiaries				
Sales of Activated Carbon	-	-	11,835,661	9,863,066
Sales of raw material and consumables	-	-	95,142	111,239
Purchase of raw material	-	-	98,400	56,160
Reimbursement of salaries/Bonus	-	-	581,276	351,319
Dividend Income	-	-	773,579	115,047
Current account interest received	-	-	4,689	20,745
Current account interest Paid	-	-	-	13
Rental Income	-	-	12,097	14,080
Purchase of services	-	-	183,812	338,546
Investment	-	-	-	3,023
Income on Services rendered	-	-	76,987	152,419
Partly-owned subsidiaries				
Sales of goods and services	-	-	-	3,451
Sale of raw material & consumables	-	-	320,210	148,871
Income from services provided	-	-	184,303	117,247
Dividend Income	-	-	140,545	392,060
Purchase of services	-	-	7,415	8,332
Reimbursement of salaries/Bonus	-	-	-	1,161
Equity accounted investee				
Services related income received	25,149	-	-	-
Services related expenses paid	2,352	1,330	591	225
Parent - Hayleys PLC				
Services related expenses paid	972,904	738,117	869,742	700,551
Dividend paid	808,828	764,754	808,828	764,754
Affiliates				
Sales of goods and services	942,688	1,013,320	329,023	389,144
Purchase of goods and services	1,934,546	1,912,575	975,766	1,177,598
Dividend Income	76,018	80,512	76,018	80,512
Interest Income	-	-	-	-
Interest paid	26,686	25,314	26,686	25,314
Loans obtained from/(repaid to) PABC	-	899,394	-	584,898
Loans obtained from/(repaid to) Directors Carbokarn Co. Ltd.	142,076	278,152	-	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

36 SEGMENT ANALYSIS

The segmental information is based on two segment formats. The business segment is considered as primary format and based on the nature of the business. The geographic segment is considered as secondary format and based on the geographical location of the business.

36.1 Business Segments

As at 31 March	Activated Carbon		Environmental Engineering		Intra Segment Adjustments		Consolidated	
	2026	2025	2026	2025	2026	2025	2026	2025
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Revenue								
Total	88,823,535	59,446,370	1,925,662	2,015,888	-	-	90,749,197	61,462,258
Intra Group	23,550,119	17,766,647	115,383	493,826	-	-	23,665,502	18,260,473
External	65,273,416	41,679,723	1,810,279	1,522,062	-	-	67,083,695	43,201,785
Segment results								
Results from operating activities	6,885,554	5,600,309	66,280	100,094	(17,108)	(20,921)	6,934,726	5,679,482
Results from investing activities	203,895	315,271	14,074	16,168	-	-	217,969	331,439
Results from financing activities	(1,249,392)	(460,798)	(15,963)	(33,154)	-	-	(1,265,355)	(493,952)
Profit before tax	5,840,057	5,454,782	64,391	83,108	(17,108)	(20,921)	5,887,340	5,516,969
Tax	1,523,853	1,220,560	22,861	25,567	-	-	1,546,714	1,246,127
Additions to property, plants and equipment	4,106,566	2,550,148	44,492	6,835	-	-	4,151,058	2,556,983
Depreciation on property, plant & equipment	1,050,800	1,000,721	6,181	5,116	-	-	1,056,981	1,005,837
Additions to intangible assets	125,634	99,691	-	-	-	-	125,634	99,691
Amortisation of intangible assets	37,110	23,266	2,394	2,394	-	-	39,504	25,660
Amortisation of Right-of-Use assets	122,260	94,085	12,453	12,453	-	-	134,713	106,538
Assets and liabilities								
Non current assets	20,772,537	17,546,766	243,036	242,425	(34,998)	(34,998)	20,980,575	17,754,193
Current assets	41,131,036	26,871,240	1,973,607	1,593,944	(217,325)	(321,921)	42,887,318	28,143,263
Non current liabilities	5,910,308	4,784,125	34,058	44,271	-	-	5,944,366	4,828,396
Current liabilities	23,719,802	10,985,958	1,075,110	728,372	(217,325)	(321,921)	24,577,587	11,392,409
Cash flow								
Segment cash flows from operating activities	(5,490,225)	(11,793)	(88,165)	121,615	-	-	(5,578,390)	109,822
Segment cash flows from investing activities	(3,919,485)	(2,314,869)	(40,518)	4,449	-	-	(3,960,003)	(2,310,420)
Segment cash flows from financing activities	(1,208,652)	(472,734)	(23,573)	(23,573)	-	-	(1,232,225)	(496,307)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

36 SEGMENT ANALYSIS

36.2 Geographical Segments

	Sri Lanka		USA		Europe		Australia	
As at 31 March	2026	2025	2026	2025	2026	2025	2026	2025
	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000	Rs.000
Revenue								
Total	36,539,657	27,029,519	16,698,693	9,752,844	4,123,010	3,352,928	4,793,593	3,343,314
Intra Group	10,883,628	8,589,363	-	-	-	-	-	-
External	25,656,029	18,440,156	16,698,693	9,752,844	4,123,010	3,352,928	4,793,593	3,343,314
Segment results								
Results from operating activities	2,603,729	3,066,208	694,502	269,139	(4,714)	(177,574)	623,352	362,968
Finance income	774,077	715,897	82,789	58,637	27,062	4,924	24,102	9,593
Finance cost	(916,896)	(846,438)	(132,814)	(78,571)	(3,206)	(1,028)	(23,986)	(1,543)
Share of profit of equity accounted investees	17,946	15,415	-	-	-	-	-	-
Profit before tax	2,478,856	2,951,082	644,477	249,205	19,142	(173,678)	623,468	371,018
Tax	693,931	627,047	121,190	45,974	16,219	(44,364)	174,909	111,263
Additions to property, plants and equipment	2,093,200	2,401,269	-	8,550	-	4,124	60	-
Depreciation on property, plant & equipment	544,326	495,655	2,449	215	6,189	8,723	3,291	3,665
Assets and liabilities								
Non current assets	14,862,745	13,053,694	118,393	151,240	45,848	61,493	40,119	34,876
Current assets	24,380,793	17,191,510	6,450,278	6,723,441	3,916,487	1,388,685	2,943,682	1,514,085
Non current liabilities	4,336,018	3,218,764	67,751	105,911	-	-	5,871	7,703
Current liabilities	14,181,166	7,286,799	4,714,942	5,477,435	3,395,248	933,957	1,795,740	712,471

37 CONTINGENT LIABILITIES

Contingent liabilities as at 31st March 2026 on guarantees given by Haycarb Group to third parties amounted to Rs. 7,847,892,831/- (2024/25 – Rs. 8,027,176,131/-) of this sum, Rs. 5,920,952,165/- (2024/25 – Rs. 6,436,706,930/-) relates to facilities obtained by subsidiaries.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

	Thailand		Indonesia		Philippines		Intra Segment Adjustments		Consolidated	
	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000	2026 Rs.000	2025 Rs.000
	17,559,737	11,647,929	11,034,507	6,335,724	-	-	-	-	90,749,197	61,462,258
	7,772,963	5,271,691	5,008,911	4,399,419	-	-	-	-	23,665,502	18,260,473
	9,786,774	6,376,238	6,025,596	1,936,305	-	-	-	-	67,083,695	43,201,785
	1,742,907	1,581,409	773,978	666,181	(38,892)	(8,902)	(57,612)	(5,829)	6,337,250	5,753,600
	56,038	19,673	16,551	153,303	-	-	(11,067)	(4,756)	969,552	957,271
	(110,156)	(105,941)	(225,626)	(180,152)	(35,791)	(400)	11,067	4,756	(1,437,408)	(1,209,317)
	-	-	-	-	-	-	-	-	17,946	15,415
	1,688,789	1,495,141	564,903	639,332	(74,683)	(9,302)	(57,612)	(5,829)	5,887,340	5,516,969
	376,972	296,983	137,093	157,669	(8,671)	-	35,071	51,555	1,546,714	1,246,127
	872,711	157,812	106,424	118,350	384	-	(76,485)	(87,032)	2,996,294	2,603,073
	408,642	362,676	100,675	135,848	37	-	(8,631)	(945)	1,056,981	1,005,837
	3,560,339	2,882,964	1,871,197	1,695,424	1,487,435	1,136,524	(1,005,502)	(1,262,022)	20,980,575	17,754,193
	8,719,290	6,159,202	7,678,200	3,955,645	799,841	296,745	(12,001,254)	(9,086,050)	42,887,318	28,143,263
	411,990	335,232	111,571	89,752	1,011,162	1,071,034	-	-	5,944,366	4,828,396
	5,281,188	3,606,443	4,582,534	856,969	1,332,617	352,181	(10,705,848)	(7,833,846)	24,577,587	11,392,409

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

38 FAIR VALUE MEASUREMENT

Set out below is a comparison by class of the carrying amount and fair value of the Group's financial instruments and certain non-financial assets that are carried in the financial statements.

Consolidated		Carrying Amount		Fair Value	
		2026	2025	2026	2025
Note		Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Equity instruments designated at fair value through OCI					
Quoted equity shares	23	2,009,961	2,237,810	2,009,961	2,237,810
Unquoted equity shares	23	825	778	825	778
Total	23	2,010,786	2,238,588	2,010,786	2,238,588
Financial assets at amortised cost					
Trade and other receivables	22	13,982,534	7,028,888	13,982,534	7,028,888
Loans to employees	22	70,527	47,836	70,527	47,836
Amounts due from other related parties	20.4	137,564	60,971	137,564	60,971
Amounts due from equity accounted investee	20.5	90,209	84,483	90,209	84,483
Cash in hand and at bank	25	2,863,264	4,087,720	2,863,264	4,087,720
Total		17,144,098	11,309,898	17,144,098	11,309,898
Non-Financial Assets					
Freehold land	15.1	2,624,053	2,524,713	2,624,053	2,524,713
Total		2,624,053	2,524,713	2,624,053	2,524,713
Financial Liabilities					
Interest-bearing loans and borrowings					
- Lease liabilities	28.3	1,333,524	1,489,314	1,333,524	1,489,314
- Long term loans	28.4	3,417,114	1,983,449	3,417,114	1,983,449
- Short term loans	28.2	13,127,802	2,853,600	13,127,802	2,853,600
- Bank overdraft	28.2	347,160	1,075,200	347,160	1,075,200
Trade and other payables	31	6,170,080	3,472,421	6,170,080	3,472,421
Amounts due to other related parties	20.2	2,271,042	2,439,313	2,271,042	2,439,313
Total		26,666,722	13,313,297	26,666,722	13,313,297

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Company		Carrying Amount		Fair Value	
		2026	2025	2026	2025
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Equity instruments designated at fair value through OCI					
Quoted equity shares	23	2,009,961	2,237,810	2,009,961	2,237,810
Unquoted equity shares	23	490	490	490	490
Total	23	2,010,451	2,238,300	2,010,451	2,238,300
Financial assets at amortised cost					
Trade and other receivables	22	8,437,253	6,468,614	8,437,253	6,468,614
Loans to employees	22	70,527	47,836	70,527	47,836
Amounts due from subsidiaries	20.3	696,068	208,206	696,068	989,239
Amounts due from other related parties	20.4	34,421	41,812	34,421	18,372
Amounts due from equity accounted investees	20.5	1,383	792	1,383	567
Cash and short term deposits	25	1,349,284	1,141,503	1,349,284	3,679,709
Total		10,588,936	7,908,763	10,588,936	11,204,337
Non-Financial Assets					
Freehold land	15.2	1,529,137	1,238,176	1,529,137	1,238,176
Total		1,529,137	1,238,176	1,529,137	1,238,176
Financial Liabilities					
Interest-bearing loans and borrowings					
Lease liabilities	28.3	168,725	160,552	168,725	160,552
Long term loans	28.4	2,914,145	638,355	2,914,145	638,355
Short term loans	28.2	7,543,676	1,120,581	7,543,676	1,120,581
Bank overdraft	28.2	290,634	1,002,043	290,634	1,002,043
Trade and other payables	31	3,031,818	2,040,631	3,031,818	2,040,631
Amounts due to subsidiaries	20.1	120,226	275,059	120,226	275,059
Amounts due to other related parties	20.2	432,484	588,829	432,484	588,829
Total		14,501,708	5,826,050	14,501,708	5,826,050

The fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants of the measurement date. The following methods and assumptions were used to estimate the fair values;

The carrying value of available for sale financial instruments at fair value through OCI and financial instruments at fair value through profit or loss at fair value.

Cash and short term deposits, trade and other receivables, amounts due to/from related parties and trade payables approximate their carrying amounts largely due to the short term maturities of these instruments.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

38 FAIR VALUE MEASUREMENT CONTD.

The Fair value of financial assets at amortised cost and financial liabilities at amortised cost is not significantly different from the value based on amortised cost methodology.

Long term loans and lease liabilities approximate their carrying amount as majority of the loan portfolio consist loan obtained at variable interest rates.

The methods and assumptions used to estimate fair value of freehold land are disclosed in Note 15.

Fair Value Hierarchy

The group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1 : Quoted (Unadjusted) prices in active markets for identical assets or liabilities.

Level 2 : Other techniques for which all inputs that have a significant effect on the recorded fair value that are not based on observable market data

Level 3 : Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

As at 31st March 2026 the Group/Company held the following financial assets carried at fair value in the Statement of Financial Position.

Assets Measured at Fair Value

		Consolidated				Company			
As at 31st March 2026		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Fair value through OCI									
Quoted equity shares	23	2,009,961	-	-	2,009,961	2,009,961	-	-	2,009,961
Unquoted equity shares	23	-	-	825	825	-	-	490	490
Property, plant and equipment									
Freehold land	15	-	-	2,624,053	2,624,053	-	-	1,529,137	1,529,137

During the reporting period ended 31st March 2026, there were no transfers between Level 1 and Level 2 fair value measurements.

As at 31st March 2025 the Group/Company held the following financial assets carried at fair value in the Statement of Financial Position.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Assets Measured at Fair Value

As at 31st March 2025	Consolidated					Company			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total	
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Fair value through OCI									
Quoted equity shares	23	2,237,810	-	-	2,237,810	2,237,810	-	-	2,237,810
Unquoted equity shares	23	-	-	778	778	-	-	490	490
Property, plant and equipment									
Freehold land	15	-	-	2,524,713	2,524,713	-	-	1,238,176	1,238,176

39 FINANCIAL RISK MANAGEMENT

The Group has exposure to the following risks from financial instruments:

- 1 Credit risk
- 2 Liquidity risk
- 3 Market risk

This note outlines the Group's exposure to the aforementioned risks, as well as its objectives, policies and processes for measuring and managing risk and the Group's management of capital. Further quantitative disclosures are included throughout these Consolidated Financial Statements.

Financial risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's financial risk management framework which includes developing and monitoring the Group's financial risk management policies.

The Group's financial risk management policies are designed to identify, measure, and analyse the financial risks it faces, establish appropriate risk limits and controls, and monitor both risks and compliance with those limits. These policies and systems are reviewed regularly to reflect changes in market conditions and the Group's operations. Through robust training, standards, and procedures, the Group strives to foster a disciplined and constructive control environment in which all employees clearly understand their roles and responsibilities.

The Group Audit Committee oversees how management monitors compliance with the Group's financial risk management policies and procedures, and reviews the adequacy of the financial risk management framework in relation to the risks faced by the Group. The Group Audit Committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of financial risk management policies and procedures, the results of which are reported to the Group Audit Committee.

Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily from trade receivables) and from its financing activities, including deposits with banks and financial institutions, foreign exchange transactions and other financial instruments.

The maximum risk position of above mentioned assets which are generally subject to credit risk are equal to their carrying amount (without consideration of collateral, if available). Following table shows the maximum credit risk positions.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39 FINANCIAL RISK MANAGEMENT CONTD.

As at 31 March 2026

Consolidated		Non current financial assets	Cash in hand and at bank	Trade and other receivables	Short term investments	Amounts due from related parties	Total
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Short term deposits	25.2	-	-	-	655,728	-	655,728
Loans to employees	22	-	-	70,527	-	-	70,527
Equity shares - Unquoted	23	825	-	-	-	-	825
- Quoted	23	2,009,961	-	-	-	-	2,009,961
Trade and other receivables	22	-	-	13,982,534	-	-	13,982,534
Financial assets at amortised cost	23	51,769	-	-	-	-	51,769
Amounts due from related parties	20.4	-	-	-	-	137,564	137,564
Amounts due from equity accounted investees	20.5	-	-	-	-	90,209	90,209
Cash in hand and at bank	25.2	-	2,207,536	-	-	-	2,207,536
Total credit risk exposure		2,062,555	2,207,536	14,053,061	655,728	227,773	19,206,653

As at 31 March 2025

Consolidated		Non current financial assets	Cash in hand and at bank	Trade and other receivables	Short term investments	Amounts due from related parties	Total
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Short term deposits	25.2	-	-	-	2,453,973	-	2,453,973
Loans to employees	22	-	-	47,836	-	-	47,836
Equity shares - Unquoted	23	778	-	-	-	-	778
- Quoted	23	2,237,810	-	-	-	-	2,237,810
Trade and other receivables	22	-	-	7,028,888	-	-	7,028,888
Financial assets at amortised cost	23	49,381	-	-	-	-	49,381
Amounts due from related parties	20.4	-	-	-	-	60,971	60,971
Amounts due from equity accounted investees	20.5	-	-	-	-	84,483	84,483
Cash in hand and at bank	25.2	-	1,633,747	-	-	-	1,633,747
Total credit risk exposure		2,287,969	1,633,747	7,076,724	2,453,973	145,454	13,597,867

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As at 31 March 2026

Company		Non current financial assets	Cash in hand and at bank	Trade and other receivables	Short term investments	Amounts due from related parties	Total
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Short term deposits	25.2	-	-	-	456,239	-	456,239
Loans to employees	22	-	-	70,527	-	-	70,527
Equity shares - Unquoted	23	490	-	-	-	-	490
- Quoted	23	2,009,961	-	-	-	-	2,009,961
Trade and other receivables	22	-	-	8,437,253	-	-	8,437,253
Amounts due from subsidiaries	20.3	-	-	-	-	696,068	696,068
Amounts due from related parties	20.4	-	-	-	-	34,421	34,421
Amounts due from equity accounted investees	20.5	-	-	-	-	1,383	1,383
Cash in hand and at bank	25.2	-	893,045	-	-	-	893,045
Total credit risk exposure		2,010,451	893,045	8,507,780	456,239	731,872	12,599,387

As at 31 March 2025

Company		Non current financial assets	Cash in hand and at bank	Trade and other receivables	Short term investments	Amounts due from related parties	Total
	Note	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Short term deposits	25.2	-	-	-	905,895	-	905,895
Loans to employees	22	-	-	47,836	-	-	47,836
Equity shares - Unquoted	23	490	-	-	-	-	490
- Quoted	23	2,237,810	-	-	-	-	2,237,810
Trade and other receivables	22	-	-	6,468,614	-	-	6,468,614
Amounts due from subsidiaries	20.3	-	-	-	-	208,206	208,206
Amounts due from related parties	20.4	-	-	-	-	41,812	41,812
Amounts due from equity accounted investees	20.5	-	-	-	-	792	792
Cash in hand and at bank	25.2	-	235,608	-	-	-	235,608
Total credit risk exposure		2,238,300	235,608	6,516,450	905,895	250,810	10,147,063

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer.

How We Manage Credit Risk

Customer Assessment: Each new customer undergoes an individual creditworthiness analysis before standard payment and delivery terms are offered. This includes external ratings and, where necessary, bank references.

Credit Limits: Purchase limits are set for each customer and reviewed quarterly. Customers not meeting our benchmarks may only transact on a prepayment basis.

Monitoring: Outstanding receivables are regularly monitored at both the Haycarb and Hayleys Management Committee (GMC) levels. High-risk customers are placed on a restricted list, and future sales are made on a prepayment basis.

Insurance: For most exports, we obtain SLECIC cover or other forms of credit insurance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39 FINANCIAL RISK MANAGEMENT CONTD.

Allowance for Expected Credit Losses (ECLs): We recognise an allowance for ECLs for all debt instruments, applying a simplified approach for trade receivables and contract assets. This is based on historical credit loss experience, adjusted for forward-looking factors .

Measurement and Monitoring

Provision Matrix: We use a provision matrix based on historical credit loss experience and forward-looking factors.

Credit-Impaired Assets: At each reporting date, we assess whether financial assets are credit-impaired, considering factors such as significant financial difficulty, breaches of contract.

Oversight

The Board of Directors oversees the financial risk management framework.

The Hayleys Group Audit Committee, assisted by the Management Audit System Review Department (MASRD), monitors compliance and reviews the adequacy of our risk management policies .

The maximum exposure to credit risk for trade and other receivables at the reporting date by currency-wise was as follows:

As at 31 March	Consolidated		Company	
	2026 Rs. '000	2025 Rs. '000	2026 Rs. '000	2025 Rs. '000
Sri Lankan Rupees	740,046	495,140	144,835	375,984
Australian Dollars	412,465	156,888	-	-
Sterling Pounds	32,372	27,879	252,655	122,390
Euros	1,499,879	428,075	58,719	279,404
United States Dollars	10,092,047	4,607,972	7,981,043	5,690,836
Thai Baht	1,026,083	536,755	-	-
Maldivian Rufiya	-	83,907	-	-
Indonesian Rupiah	179,642	692,272	-	-
	13,982,534	7,028,888	8,437,253	6,468,614

Investments

Credit risk from investments in equity market and balances with the financial institutions are managed by the Group. Investments of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. The limits are set to minimise the concentration of risks and therefore mitigate financial loss through potential counterparty's failure.

Cash and cash equivalents

The Group held cash in hand and at bank equivalents of Rs. 2,863,284,000/- as at 31 March 2026 (2025 -Rs. 4,087,720,000/-) which represents its maximum credit exposure on these assets.

Respective credit ratings of banks which group cash balances held are as follows;

Bank Name	Rating	Bank Name	Rating
Bank of Ceylon	AA- (lka)	Nations Trust Bank PLC	A (lka)
Bank of China Limited	A- (lka)	National Development Bank PLC	A- (lka)
Citibank N.A.	AAA (lka)	Pan Asia Banking Corporation PLC	BBB (lka)
Commercial Bank of Ceylon PLC	AA- (lka)	People's Bank	AA- (lka)
Deutsche Bank AG	A- (lka)	Sampath Bank PLC	AA- (lka)
DFCC Vardhana Bank Limited	A (lka)	Seylan Bank PLC	A+ (lka)
Hatton National Bank PLC	AA- (lka)	Standard Chartered Bank	AAA (lka)
Habib Bank Limited	AA (lka)		
Hongkong & Shanghai Banking Corporation Limited	AAA (lka)		

Source - <http://www.fitchratings.lk>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank overdrafts and bank loans. The Group assessed the concentration of risk with respect to refinancing its debt and concluded it to be low. Access to sources of funding is sufficiently available and debt maturing within 12 months can be rolled over with existing lenders.

The Group Treasury monitors cash flows at both the subsidiary and Group levels and secures adequate banking facilities to meet funding requirements. The Group avoids reliance on a single financial institution, thereby minimising exposure to liquidity risk through the diversification of funding sources. It also maintains an appropriate balance between short- and long-term financing, taking into account the nature of investments, their payback periods, and the overall cash flow position.

The monthly liquidity position is monitored by the group treasury. All liquidity policies and procedures are subject to review and approval by Board of Directors.

The table below summarises the maturity profile of the Group's and Company's financial liabilities based on contractual undiscounted payments.

As at 31st March 2026	On demand Rs.'000	Less than 3 months	3 to 12 months Rs.'000	1 to 5 years Rs.'000	> 5 years Rs.'000	Total Rs.'000
Consolidated						
Interest bearing loans and borrowings	347,162	9,540,674	4,905,579	2,491,769	940,416	18,225,600
Trade and other payables	997,000	3,098,860	2,074,220	-	-	6,170,080
	1,344,162	12,639,534	6,979,799	2,491,769	940,416	24,395,680

As at 31st March 2025	On demand Rs.'000	Less than 3 months	3 to 12 months Rs.'000	1 to 5 years Rs.'000	> 5 years Rs.'000	Total Rs.'000
Consolidated						
Interest bearing loans and borrowings	1,075,200	2,487,660	1,090,589	1,468,195	1,279,919	7,401,563
Trade and other payables	766,452	1,077,887	1,628,082	-	-	3,472,421
	1,841,652	3,565,547	2,718,671	1,468,195	1,279,919	10,873,984

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39 FINANCIAL RISK MANAGEMENT CONTD.

As at 31st March 2026	On demand Rs.'000	Less than 3 months	3 to 12 months Rs.'000	1 to 5 years Rs.'000	> 5 years Rs.'000	Total Rs.'000
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Company

Interest bearing loans and borrowings	290,634	5,999,525	2,675,287	1,951,734	-	10,917,180
Trade and other payables	694,450	1,681,872	655,496	-	-	3,031,818
	985,084	7,681,397	3,330,783	1,951,734	-	13,948,998

As at 31st March 2025	On demand Rs.'000	Less than 3 months	3 to 12 months Rs.'000	1 to 5 years Rs.'000	> 5 years Rs.'000	Total Rs.'000
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Company

Interest bearing loans and borrowings	1,002,043	1,204,815	254,074	371,568	89,031	2,921,531
Trade and other payables	546,775	1,018,216	475,640	-	-	2,040,631
	1,548,818	2,223,031	729,714	371,568	89,031	4,962,162

Market risk

Market risk refers to the possibility that the fair value or future cash flows of a financial instrument may fluctuate due to changes in market prices. It encompasses four key types of risk: interest rate risk, currency risk, commodity price risk, and other price risks such as equity price risk. Financial instruments exposed to market risk include loans and borrowings, deposits, and financial assets measured at fair value through Other Comprehensive Income (OCI). The primary objective of market risk management is to effectively monitor and control these exposures within acceptable limits, while maximising returns.

The sensitivity analysis in the following sections relate to the position as at 31st March 2026.

The sensitivity analysis have been prepared on the basis that the amount of net debt, the ratio of fixed-to-floating interest rates of the debt and derivatives and the proportion of financial instruments in foreign currencies are all constant.

The analysis exclude the impact of movements in market variables on the carrying value of pension and other post-retirement obligations, provisions and the non-financial assets and liabilities of foreign operations.

The following assumptions have been made in calculating the sensitivity analysis:

The statement of financial position sensitivity relates to equity instruments designated as fair value through OCI.

The sensitivity of the relevant Income Statement item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at 31st March 2026.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

The Group's exposure to the risk of change in market interest rates relates to the Group's short-term obligations and long-term obligations with floating interest rates which is managed with prudent management of loan portfolio.

Interest rate sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings. With all other variables held constant, the Group's and Company's profit before tax is affected through the impact on floating rate borrowings, as follows:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

As at 31 March	Effect on Profit before Tax			
	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Increase in borrowing rates by 100 basis points	(200,502)	(90,841)	(109,172)	(29,215)
Decrease in borrowing rates by 100 basis points	200,502	43,758	109,172	29,215

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in a different currency from the Group's functional currency) and the Group's net investments in foreign subsidiaries.

The Group is exposed to currency risk on sales, purchases and borrowings and net investments in foreign subsidiaries that are denominated in a currency other than the respective functional currencies of the Group. The currencies in which these transactions primarily denominated are US Dollar, Australian Dollar, Sterling Pound, Thai Baht, Indonesian Rupiah, Maldivian Rupiah and Euros.

The Group evaluate on a case by case basis and where required, hedges its exposure to fluctuations on the translation of its foreign operations by holding net borrowings in foreign currencies and by using forwards contracts wherever applicable.

Foreign currency sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in the exchange rate, with all other variables held constant of the Group's and Company's profit before tax (due to changes in the fair value of monetary assets and liabilities). The Group's and Company's exposure to foreign currency changes for all other currencies is not material.

Foreign Currency	Increase/ (Decrease) %	Consolidated				Company	
		Effect on Profit before Tax		Effect on foreign currency translation reserve		Effect on Profit before Tax	
		2026	2025	2026	2025	2026	2025
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
United States Dollars	1%	3,195	18,601	17,967	17,436	16,507	30,297
	-1%	(3,195)	(18,601)	(17,789)	(17,263)	(16,507)	(30,297)
Thai Baht	1%	3,023	8,331	31,385	24,148	-	-
	-1%	(3,023)	(8,331)	(31,075)	(23,909)	-	-
Indonesian Rupiah	1%	(24,654)	1,545	36,890	32,283	-	-
	-1%	24,654	(1,545)	(36,525)	(31,964)	-	-
Sterling Pounds	1%	(1,634)	89	5,592	5,195	2,507	1,489
	-1%	1,634	(89)	(5,536)	(5,143)	(2,507)	(1,489)
Australian Dollars	1%	2,477	1,670	11,422	8,080	-	-
	-1%	(2,477)	(1,670)	(11,309)	(8,000)	-	-
Euros	1%	15,443	4,221	223	54	1,305	3,886
	-1%	(15,443)	(4,221)	(221)	(53)	(1,305)	(3,886)
Maldivian Rufiya	1%	2,021	1,867	-	-	-	-
	-1%	(2,021)	(1,867)	-	-	-	-

Commodity Risk

The Group is affected by the volatility of certain commodities that required for ongoing manufacturing process. Due to the significantly increased volatility of the price of the underlying, the management has developed and enacted a risk management strategy regarding commodity price risk and its mitigation. Group constantly monitor the Raw material price of Charcoal and other consumables for downwards trends and invest in bulk purchase when low prices are prevalent. Management may revise the selling price based on the commodity prices whenever possible.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

39 FINANCIAL RISK MANAGEMENT CONTD.

Equity price risk

The Group does not engage in equity trading other than holding of equity shares as a strategic investments on long term basis. Equity shares are assessed at fair value using valuation techniques of fair value hierarchy.

Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong capital base in order to support the Group's business operations, maximise shareholder value, and sustain investor, creditor and market confidence.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions, regulatory requirements and the risk characteristics of its underlying assets. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or obtain additional borrowings.

Definition of Capital

For the purpose of capital management, the Group considers total equity attributable to equity holders of the parent, non-controlling interest, together with interest-bearing borrowings, as its capital. Equity comprises stated capital, reserves and retained earnings, while borrowings include interest-bearing loans and other debt instruments.

Capital Management Policy

The Group seeks to maintain an optimal balance between debt and equity to minimise the cost of capital while safeguarding the Group's ability to continue as a going concern. The Group monitors its capital structure primarily through the gearing ratio, which is calculated as debt divided by total capital (Equity + Debt).

The Group's objective is to maintain the gearing ratio within internally determined thresholds, consistent with industry norms and the Group's risk appetite.

Monitoring and Compliance

Capital is monitored on a continuous basis at both Group and subsidiary levels. The Group reviews its capital structure regularly and ensures compliance with externally imposed capital requirements, including financial covenants attached to borrowings.

During the financial year, the Group complied with all externally imposed capital requirements and financial covenants.

The Group has not given any collateral as at 31st March 2026 other than those disclosed in Note 15

The gearing ratios at the reporting date was as follows:

As at 31 March	Consolidated		Company	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Interest bearing borrowings -external	18,225,600	7,401,563	10,917,180	2,921,531
Interest bearing borrowings -related party	1,824,580	1,682,504	-	-
Total equity	33,345,940	29,676,651	18,898,593	16,742,875
Total equity and debt	53,396,120	38,760,718	29,815,773	19,664,406
Gearing ratio percentage (%)	37.5%	23.4%	36.6%	14.9%
Debt to equity ratio	60.1%	30.6%	57.8%	17.4%

40 EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

No circumstances have arisen since the Balance Sheet date, which would require adjustment to or disclosure in the Financial Statements except for the following,

Subsequent to the reporting date, geopolitical tensions arising from the conflict involving Iran and the surrounding Middle East region have contributed to volatility in global energy markets and international shipping and logistics networks. The Group has experienced certain increases in freight, logistics and energy-related costs arising from these developments. However, based on the information currently available, the Group has not experienced any material adverse impact on the demand for activated carbon products or on its overall operations. Management continues to closely monitor the evolving situation and assess any potential impact on the Group's business activities.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

41 FOREIGN CURRENCY TRANSLATION

The principal exchange rates used for translation purposes were:

As at 31 March	Average		Year End	
	2026	2025	2026	2025
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
US Dollar	305.187	297.606	315.400	296.250
Australian Dollar	202.569	193.535	216.648	186.164
Pound Sterling	409.756	380.746	418.730	383.436
Thai Baht	9.494	8.587	9.633	8.731
Indonesian Rupiah	0.0184	0.0185	0.0186	0.018
Euro	354.751	319.075	363.214	319.654
Indian rupee	3.518	3.518	3.460	3.460
Philippines Peso	5.309	5.153	5.192	5.160

42 RECONCILIATION ON STATEMENT OF PROFIT OR LOSS FOR THE YEAR ENDED 31ST MARCH 2025

GRI 2 - 4

The statement of profit or loss under LKAS 01 for the year ended 31st March 2025 reconciles to the statement of profit or loss under SLFRS 18 as follows;

As at 31st March 2025	Consolidated			Company		
	LKAS 01	Adjustments	SLFRS 18	LKAS 01	Adjustments	SLFRS 18
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	43,201,785	-	43,201,785	23,070,243	-	23,070,243
Cost of sales	(31,139,438)	-	(31,139,438)	(17,645,648)	-	(17,645,648)
Gross profit	12,062,347		12,062,347	5,424,595	-	5,424,595
Other operating income	321,423	-	321,423	1,031,843	(797,868)	233,975
Research and development expenses	-	(124,783)	(124,783)	-	(124,783)	(124,783)
Selling expenses	(395,530)	-	(395,530)	(119,033)	-	(119,033)
Administrative expenses	(6,234,640)	124,783	(6,109,857)	(3,056,094)	415,545	(2,640,549)
Foreign exchange differences	-	(74,118)	(74,118)	-	(122,112)	(122,112)
Operating profit	5,753,600	74,118	5,679,482	3,281,311	(629,218)	2,652,093
Share of profit of equity accounted investees (net of tax)	-	15,415	15,415	-	-	-
Foreign exchange differences on cash and short term deposits	-	(920)	(920)	-	1,218	1,218
Other income from investments	-	316,944	316,944	-	739,262	739,262
Operating result before financing and income tax	5,753,600	257,321	6,010,921	3,281,311	111,262	3,392,573
Finance income	957,271	(957,271)	-	693,207	(693,207)	-
Finance cost	(1,209,317)	1,209,317	-	(767,090)	767,090	-
Share of profit of equity accounted investees (net of tax)	15,415	(15,415)	-	-	-	-
Interest expenses on loans and borrowings	-	(510,196)	(510,196)	-	(208,101)	(208,101)
Foreign exchange differences on interest-bearing loans and borrowings	-	16,244	16,244	-	22,956	22,956
Profit before tax	5,516,969	-	5,516,969	3,207,428	-	3,207,428
Tax expense	(1,246,127)	-	(1,246,127)	(470,811)	-	(470,811)
Profit from continuing operations	4,270,842	-	4,270,842	2,736,617	-	2,736,617

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

43 FUNCTIONAL CURRENCY

The Group's functional currency is Sri Lanka Rupee, except in the following subsidiaries:

Company	Functional Currency
PT Mapalus Makawanua Charcoal Industry	Indonesian Rupiah
PT Haycarb Palu Mitra	Indonesian Rupiah
Haycarb Holdings Bitung Ltd.	United States Dollar
Eurocarb Products Ltd.	Sterling Pounds
Haycarb Holdings Australia (Pty) Ltd.	Australian Dollars
Haycarb USA Inc.	United States Dollar
Carbokarn Co. Ltd.	Thai Baht
CK Regen Systems Co. Ltd.	Thai Baht
Shisuka Co. Ltd.	Thai Baht
Puricarb Pte. Ltd.	Euro
Haycarb Activated Carbon (Pvt) Limited (Chennai, India)	Indian rupee
Haycarb Philippines Corporation - (Manila)	Philippine peso
Haycarb Singapore Pte. Ltd. (Singapore)	United States Dollar
Eurocarb Germany GmbH.	Euro

44 COMPANIES WITH DIFFERENT ACCOUNTING YEARS

The financial statements of the following subsidiaries and associate companies have been prepared to reporting dates other than 31 March, in accordance with the statutory and operational requirements prevailing in their respective countries of incorporation:

- » Carbokarn Co. Ltd. - Thailand
- » CK Regen Systems Co. Ltd. - Thailand
- » Shisuka Co. Ltd. - Thailand
- » Haycarb Holdings Australia (Pty) Ltd. - Australia
- » Haycarb USA - United States of America
- » PT Mapalus Makawanua Charcoal Industry - Indonesia
- » PT Haycarb Palu Mitra - Indonesia

The financial year-end of the above companies is 31 December

Supplementary
Information